



European Chamber
中国欧盟商会



DEALING WITH SUPPLY CHAIN DEPENDENCIES: CHALLENGES AND CHOICES

European Union Chamber of Commerce in China

www.europeanchamber.com.cn

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About the European Union Chamber of Commerce in China

The European Union Chamber of Commerce in China (European Chamber) was founded in 2000 by 51 member companies that shared a goal of establishing a common voice for the various business sectors of the European Union (EU) and European businesses operating in China. It is a member-driven, non-profit, fee-based organisation with a core structure of 51 working groups, sub-working groups, industry desks and forums representing European business in China.

The European Chamber now has over 1,600 members in seven chapters operating in nine cities: Beijing, Nanjing, Shanghai, Shenyang, South China (Guangzhou and Shenzhen), Southwest China (Chengdu and Chongqing) and Tianjin. Each chapter is managed at the local level by local boards reporting directly to the Chamber's Executive Committee.

The European Chamber is recognised by the European Commission and the Chinese authorities as the official voice of European business in China. It is also recognised as a foreign chamber of commerce by the Ministry of Civil Affairs. The European Chamber is part of the growing network of European Business Organisations (EBOs), which connects European business associations and chambers of commerce from 45 non-EU countries and regions around the world.

Mission Statement:

As a member-based organisation, the European Chamber seeks to:

- Ensure greater market access and a level playing field for European companies in China.
- Improve market conditions for all businesses in China.
- Facilitate networking among members and stakeholders.
- Bring specific information relevant to its members on doing business in China.
- Update its members on economic trends and legislation in China.

Principles:

- We are an independent, non-profit organisation governed by our members.
- We work for the benefit of European business as a whole.
- We operate as a single, networked organisation across China.
- We maintain close, constructive relations with the Chinese and European authorities while retaining our independence.
- We seek the broadest possible representation of European business in China within our membership: large, medium and small enterprises from all business sectors and EU Member States throughout China.
- We operate in accordance with Chinese law and regulations.
- We treat all our members, business partners and employees with fairness and integrity.

President's Foreword

The exceptional performance of China's export machine continued throughout 2025, further bolstering the dominance of Chinese supply chains: the country is on track to expand its already record high market share of global exports in 2025 (in container terms 36.3 per cent in 2024, up from 31.7 per cent in 2019);¹ and for the first nine months of the year, its share of global container exports is estimated at 37 per cent.²

Unfortunately, China's trade imbalance in container terms with the European Union (EU) is already at approximately 1:4, up from 1:2.7 in 2019, and imbalances are accelerating.³ In the first seven months of the year, China's exports to Europe grew by nine per cent in container terms, whereas EU exports to China declined by eight per cent.⁴

Chinese exports have continued to gain traction in the European Single Market partly due to technological and quality advancements in some industry sectors—particularly those related to the green transition and advanced manufacturing—leading to more competitive products. But Chinese exports have also been substantially supported by macro-economic developments. For example, in 2025 the *renminbi* sank to a 10-year low against the euro (EUR),⁵ despite China boasting exceptionally high trade surpluses with Europe that are now set to exceed EUR 400 billion for the year.⁶ Moreover, China has now experienced 37 consecutive months of factory gate deflation as the output in many industries consistently exceeds what domestic and global markets can absorb.⁷ There is currently no end in sight to this situation.

Irrespective of China's overproduction issue and record-breaking export performance, preliminary releases of information on the forthcoming 15th Five-year Plan make evident that China will retain a focus on self-reliance and establishing 'complete industrial systems' at ever higher levels of technical sophistication, and that there will be continued industrial policy support for key sectors.⁸ This represents policy continuity with the previous five-year plan. It also implies, all things being equal, that the present-day deflationary environment and the disparity between supply and demand—often stemming from key industries subject to industrial policy support, including industries important to Europe—is unlikely to fundamentally change. This is causing significant concern in the EU for two related reasons.

First, one of the ways that China is trying to compensate for its supply-demand imbalance is by maintaining its focus on export-driven growth, with the EU one of the main recipients of its exports. This has already resulted in some industries that are vital to European economic security coming under pressure from low-priced, quality products, supported by a weak Chinese exchange rate and industrial policy measures.

Second, the increase of Chinese imports into the EU is resulting in the bloc becoming reliant on a wider range of products and materials, with rare earths and magnets potentially just the tip of the iceberg. China's willingness to impose costs on trading partners that have such dependencies—including through certain export control initiatives—has understandably accelerated the need for the EU to identify where these dependencies are critical and devise appropriate responses.

1 'China' data includes the Chinese mainland, Hong Kong, Macao and Mongolia. Maersk estimate based on Container Trade Statistics (CTS), Port Import/Export Reporting Service (PIERS) et al. CTS is an organisation that provides aggregated trade volumes in twenty-foot equivalent units (TEUs) between various regions as a paid-for service. See: <<https://containerstatistics.com/>> PIERS is a paid service by S&P Global which provides trade data. See: <<https://www.spglobal.com/market-intelligence/en/solutions/products/piers>>

2 *Ibid.*

3 CTS

4 *Ibid.*

5 Kawai, Y., and Cho, Y., *Yuan hits 10-year low against euro, threatening trade tensions*, *Nikkei Asia*, 2nd May 2025, viewed 10th November 2025, <<https://asia.nikkei.com/business/markets/currencies/yuan-hits-10-year-low-against-euro-threatening-trade-tensions>>

6 Anstey, C., *China Fails to Capitalize on Europe's Grievances Over US Tariffs*, *Bloomberg*, 25th July 2025, viewed 10th November 2025, <<https://www.bloomberg.com/news/newsletters/2025-07-25/china-fails-to-capitalize-on-europe-s-grievances-over-us-tariffs>>

7 Wu, X. and Wong, K., *China's consumer prices return to growth as deflationary pressures persist*, *South China Morning Post*, 9th November 2025, viewed 10th November 2025, <<https://www.scmp.com/economy/china-economy/article/3332087/chinas-consumer-prices-return-growth-deflationary-pressure-persist>>

8 *Recommendations of the CPC Central Committee for Formulating the 15th Five-year Plan for National Economic and Social Development*, *Xinhua*, 28th October 2025, viewed 10th November 2025, <https://www.idcpc.gov.cn/ztwy/tbtj/20th4mettingen/documents/202510/20251029_167976.html>



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That the EU is now placing more emphasis on securing its own industrial future should come as no surprise to China, particularly as the underlying reasons are not materially different to those that have been expressed for many years in China's five-year plans and policy statements that have a strong focus on self-reliance. Precisely how the EU will respond is not yet clear, but it could conceivably choose to develop and implement more targeted policies that—like many of China's—address specific industrial resilience and economic security concerns, albeit much more limited in nature. While not to be taken lightly, the world we are living in today has proved that such decisions are sometimes necessary. If the EU were to do so, this should not be viewed by China as an additional source of dispute, but rather as a setting of necessary guardrails to determine the scope of productive future cooperation.

Jens Eskelund
President
European Union Chamber of Commerce in China

Executive Summary

Globalisation has not just created immense value for China, as it has for Europe, it has also given the country the ability to exert significant influence over global supply chains, which are now heavily reliant on exports from China. While it should follow that China would do everything in its power to protect the system that it has benefitted from, its security-orientated and self-reliance-focussed policy direction is instead contributing to a more strained global trading environment. China's willingness to use its dominance in supply chains to exert pressure on its trade partners, for example through export controls, is being met by increasing pushback from other countries and regions. This may result in a reduction of both China's influence over supply chains and the benefits of global trade, as trading partners take necessary steps to reduce dependencies on China.

China is currently the world's only manufacturing superpower, with the efficiency and competitiveness of its supply chains making it an exceptionally attractive base for manufacturing and sourcing for many companies. However, long-standing pain points of operating in China—like discrimination in procurement and broadly applied industrial policy, as well as new challenges like tariffs and export controls—are compounding the challenges of a global business environment that is increasingly politicised, uncertain and susceptible to disruptions. The result: companies are struggling to balance the positive aspects of Chinese supply chains against the need to ensure flexibility and resilience.

There are external factors at play that China cannot directly control—such as the United States' (US') shift away from globalisation through its 'America-first' approach—but it could be more cognisant of how its actions ultimately influence the decisions that other markets may take in response. Many of the concerns that the US has expressed about how China has been able to use its manufacturing prowess to dominate global trade are widely shared by other markets, including the EU. While the EU has been slow to react to this, China's 2025 imposition of export controls on rare earth elements (REEs) and its subsequent announcement of extraterritorial controls may have been a turning point, with Brussels now seriously considering how to reduce its dependence on China for critical materials.

Given that the EU is still in the early stages of its response, it is not possible to predict how its overall approach to China, and trade in general, will evolve. With limited exception, it has both adhered to and defended World Trade Organization (WTO) principles, welcomed most Chinese investment into its Single Market and used carefully targeted, measured trade defence actions only when clear market distortions have been identified. China has benefitted from this approach so far, allowing it to address tensions with the US through disruptive retaliation while knowing it could count on the EU as a stable, albeit discontented, trade partner. However, by continuing to export ever greater quantities of goods to the EU—in part to compensate for weak domestic demand relative to supply growth—while failing to address several long-standing concerns that European companies have about the country's business environment, China is pushing the EU to take a more offensive approach to its China policy than it currently does.

For now, however, China's exports to the EU are continuing to grow at a rapid clip. This is perhaps providing a false sense of security that its current policy focus on security and self-reliance—while it reaps the benefits of its dominant position in global trade—is both correct and sustainable. But while the strength of China's industrial clusters mean that many global companies are still heavily reliant on the country's supply chains in order to remain competitive, the way geopolitical events—like the US-China trade war—have directly impacted companies has made clear the danger of single-country dependencies, especially on China. This is further accelerating the shift in the way companies view their supply chain strategies, as they increasingly prioritise resilience and flexibility over cost and efficiency.

Over time, China's ability to exercise control over key supply chains through measures like tariffs and export controls may diminish as other countries' self-reliance initiatives mature. Most European companies present in China today will remain for as long as they can, given that the country's innovation ecosystem and unparalleled manufacturing



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capacity will remain strengths. But both their willingness and ability to place China at the centre of their global supply chains may well diminish, depending on if and how China decides to continue leveraging its current dominance.

Introduction

China's position in global supply chains

Initially attracted by the country's low labour costs and increasingly favourable economic policies, foreign companies began bringing their manufacturing to China following its opening up in the late-1970s. This trend accelerated in the 1990s, and surged in the early 2000s following China's accession to the WTO. The outcome was mutually advantageous: companies drove down costs and increased their competitiveness and China benefitted from an influx of investment and technology to rapidly scale up its manufacturing prowess, all while consumers in overseas markets gained enhanced purchasing power.

Today, with its highly developed industrial clusters and commanding share of global manufacturing, China holds a dominant position in global supply chains and benefits from the influence that comes with it. But there are two main challenges that could destabilise China's position.

First, China's dominance means that it is disproportionately impacted by a complex set of dynamics—in particular geopolitical factors—that are now compelling companies to reassess and adjust their supply chains accordingly, including by diversifying them away from China in some cases. In turn, China's responses to these dynamics are having negative consequences for supply chains and the economies that they serve around the world.

Second, China's continued focus on exports as a driver of economic growth is leading the country into an unhealthy cycle. Despite unprecedented global trade tensions, China's international influence through exports is continuing to grow. The country's trade in goods surplus has nearly doubled in the past five years and is set to surpass the United States dollar (USD) one trillion mark for the first time in 2025,^{9&10} and in the first three quarters of this year it had already recorded a greater trade surplus than it did in the whole of 2024.¹¹ Trade imbalances are not a problem in and of themselves, and might in some cases even be positive.¹² However, it is the enormity of Chinese exports that sets it apart from other net-exporting countries. This means they have an outsize impact on industries around the world, which is one of the main sources of the current trade tensions between China and its many partners.

9 Brown, A., and Mischer, A., *China's economic policy holds line as growth weakens*, MERICS, 24th October 2025, viewed 27th October 2025, <<https://merics.org/en/tracker/chinas-economic-policy-holds-line-growth-weakens>>

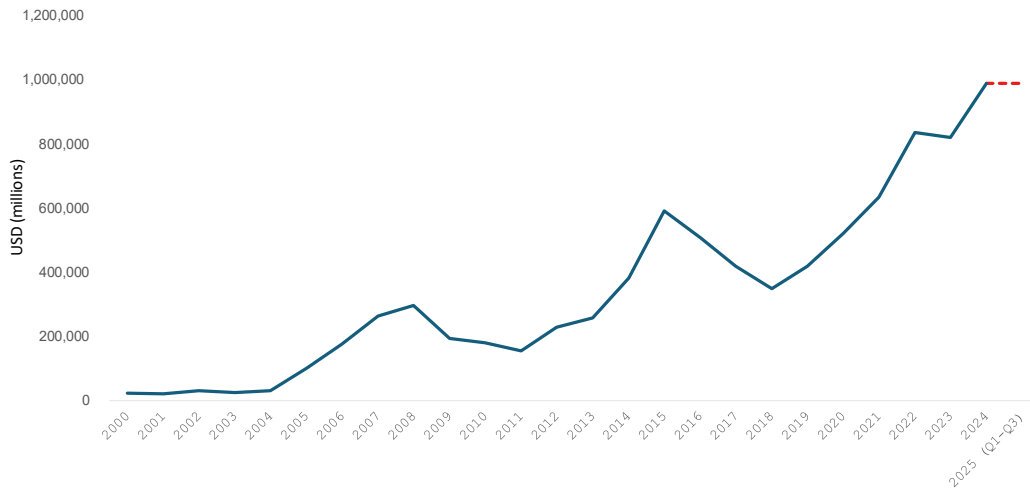
10 (1) *Table of Total Import and Export Value (US Dollar Value) A: Annual Table*, General Administration of Customs, 18th January 2025, viewed 27th October 2025, <<http://www.customs.gov.cn/customs/302249/zfxgk/2799825/302274/302277/302276/6325037/index.html>>

11 According to customs data, China's trade in goods surplus was USD 992.2 billion in 2024. It was USD 992.6 billion in Q1-Q3 of 2025. (1) *Table of Total Import and Export Value (US Dollar Value) A: Annual Table*, General Administration of Customs, 18th October 2025, viewed 27th October 2025, <<http://www.customs.gov.cn/customs/302249/zfxgk/2799825/302274/302277/302276/6781747/index.html>>; (1) *Table of Total Import and Export Value (US Dollar Value) A: Annual Table*, General Administration of Customs, 18th January 2025, viewed 27th October 2025, <<http://www.customs.gov.cn/customs/302249/zfxgk/2799825/302274/302277/302276/6325037/index.html>>

12 Hayes, A., *Trade Deficit: Advantages and Disadvantages*, Investopedia, 8th February 2025, viewed 14th November 2025, <<https://www.investopedia.com/articles/investing/051515/pros-cons-trade-deficit.asp>>



China's Trade Surplus (Goods)



Source: General Administration of Customs ^{13&14}

China's explosive export growth—which came on the back of a surge in exports during the COVID-19 pandemic—is therefore not going to be left unaddressed by other economies. The international environment that made China's export-driven growth model so successful is already being challenged, with the embrace of free trade having given way to concerns about market distortions and economic security. China faced a record number of WTO trade investigations in 2024 as markets—both developed and developing—attempted to counter perceived threats to their respective domestic industries.¹⁵ This trend is understandably concerning for China: the immense benefits it has gained from globalisation could be lost through fragmentation of the current global trade order.

There are already signs that the world is moving towards a more splintered form of globalisation, albeit at a fairly measured pace so far. One driver of this change—concerns about what China has gained from its WTO membership without undergoing many anticipated, and promised, reforms—is longstanding, but it was the election of Donald Trump as US president in 2016 that proved a watershed moment.

Donald Trump's first presidency precipitated a change of US rhetoric towards trade: upon assessing the global trade order that the US had been central to creating, the Trump administration concluded that it had not been receiving a reasonable share of the benefits, and the seeds of a more US-centric approach that were sewn during Trump's election campaign began to sprout. Just months after President Trump's inauguration, with the US seemingly pulling away from multilateralism, Chinese President Xi Jinping spoke at the 2017 World Economic Forum meeting in Davos, Switzerland saying:

“...whether you like it or not, the global economy is the big ocean that you cannot escape from. Any attempt to cut off the flow of capital, technologies, products, industries and people between economies, and channel the

13 (1) *Table of Total Import and Export Value (US Dollar Value) A: Annual Table*, General Administration of Customs, 18th October 2025, viewed 27th October 2025, <<http://www.customs.gov.cn/customs/302249/zfxxgk/2799825/302274/302277/302276/6781747/index.html>>

14 1) *Table of Total Import and Export Value (US Dollar Value) A: Annual Table*, General Administration of Customs, 18th January 2025, viewed 27th October 2025, <<http://www.customs.gov.cn/customs/302249/zfxxgk/2799825/302274/302277/302276/6325037/index.html>>

15 Lu, F., *Trade Surplus Grows Abnormally Amid Insufficient Domestic Demand — China's Economic Rebalancing Will Help Counter the Tariff War*, China Center for Economic Research, 22nd April 2025, viewed 24th October 2025, <<https://nsd.pku.edu.cn/docs/20250422110541244327.pdf>>

waters in the ocean back into isolated lakes and creeks is simply not possible.”¹⁶

In spite of this staunch argument in defence of globalisation, with the suggestion that it has an ineluctable quality, the US launched what China at the time called “the biggest trade war in economic history” in 2018, imposing 25 per cent tariffs on USD 34 billion worth of Chinese goods.¹⁷

Later that year, at the opening ceremony of the first China International Import Expo, China’s framing of the situation, intentionally or otherwise, seemed to shift, when its leadership stated: “we have a market of more than 1.3 billion consumers who live on the land of over 9.6 million square kilometres. To use a metaphor, the Chinese economy is not a pond, but an ocean.”¹⁸ China had begun to envision a world in which its domestic economy could serve as a more stable alternative to relying on an increasingly unpredictable global economy.

This idea matured into policy in 2020—amid an emerging pandemic that rapidly brought global supply chains grinding to a halt—when China rolled out its ‘dual circulation’ model, under which the domestic economy takes priority over global trade, which is intended to have an important but secondary role.¹⁹ The move—aimed at further insulating China from external disruptions—was acknowledged by Chinese state media to be an “accelerated shift from China’s export-oriented development strategy”.²⁰ While the recognition that over-reliance on exports for growth is unsustainable was a positive development, the model is rooted in the philosophy that China needs a self-reliant economy. The idea being to move towards a ‘one-foot-in, one-foot-out’ approach to globalisation in which China will seek to engage with the global economy when it serves its interests without becoming dependent upon it in areas related to its economic and national security.

This strategy came with an important caveat. While China has the market and size to be an ‘ocean’, for it to be able to genuinely stand on its own two feet it needs control of critical technologies. Later that year, China’s leadership made this explicit in a speech that said, “we must build homegrown, controllable, secure, and reliable domestic production and supply chains in areas and links vital to our national security, so that they are self-sufficient at critical moments. This will ensure the economy functions normally in extreme circumstances.”^{21&22}

Achieving this would have two main benefits – first, China would be less susceptible to economic coercion by other markets, as well as unintentional global economic turbulence; and second, it would be able to use its control of strategic technologies to wield more influence over the global economy, something that the US had been doing anyway.²³ In the same speech, this seemed to be acknowledged by the following statement:

“First, we must build on our advantages, solidify and increase the leading international positions of strong industries, and forge some “assassin’s mace” technologies. We must sustain and enhance our superiority across the entire production chain in sectors such as high-speed rail, electric power equipment, new energy, and communications equipment, and improve industrial quality; and we must tighten international production

16 Full Text: Xi Jinping’s keynote speech at the World Economic Forum, Xinhua, 6th April 2017, viewed 31st October 2025, <http://www.china.org.cn/node_7247529/content_40569136.htm>

17 Tan, W., *Trade War begins: US and China exchange \$34 billion in tariffs*, CNBC, 6th July 2018, viewed 31st October 2025, <<https://www.cnbc.com/2018/07/06/trade-war-worries-us-china-tariffs-to-kick-in-on-friday.html>>

18 Full text: Xi’s keynote speech at import expo inauguration, China International Import Expo, 6th November 2018, viewed 31st October 2025, <<https://www.ciie.org/zbh/news/20181106/7742.html>>

19 CGTN Explains: What does ‘dual circulation’ development pattern mean?, CGTN, 16th September 2020, viewed 31st October 2025, <<https://news.cgtn.com/news/2020-09-15/CGTN-Explains-What-does-dual-circulation-development-pattern-mean--TO6KTgqjg4/index.html>>

20 Ibid.

21 Major Issues Concerning China’s Strategies for Mid-to-Long-Term Economic and Social Development, CSIS Interpret: China, 31st October 2020, viewed 31st October 2025, <<https://interpret.csis.org/translations/major-issues-concerning-chinas-strategies-for-mid-to-long-term-economic-and-social-development/>>

22 Xi, J., *Major Issues Concerning China’s Strategies for Mid-to-Long-Term Economic and Social Development*, qstheory.cn, 31st October 2020, viewed 31st October 2025, <https://www.qstheory.cn/dukan/qs/2020-10/31/c_1126680390.htm>

23 De Decker, V., *Hall of Mirrors: How U.S.-China Export Controls Feed Each Other*, Egmont Royal Institute for International Relations, 15th October 2025, viewed 10th November 2025, <<https://www.egmontinstitute.be/hall-of-mirrors-how-u-s-china-export-controls-feed-each-other/>>



chains' dependence on China, and establish robust countermeasures and deterrence against any deliberate supply disruptions by external parties.^{24,25&26}

In 2025, this idea manifested itself through China's rollout of export controls on REEs as retaliation against the US, resulting in significant disruptions to global supply chains. While export controls are not unique to China, the sheer scale of the collateral damage that their rollout caused European companies and Europe's core industries caught many off guard. China had demonstrated a willingness to leverage its control over supply chains in ways that can lead to severe consequences.

The 'dual circulation' model has not been fully realised, with some key industries still reliant on exports and indigenous capabilities in other sectors remaining behind the cutting edge.²⁷ However, this has not prevented China from continuing its progress towards self-reliance and growing its exports at a faster pace – maximising the benefits of globalisation while simultaneously preparing for the possibility of its demise.

This approach may create a self-fulfilling prophecy: the fragmentation of globalisation—whether driven by trade imbalances, security concerns or protectionism—will confirm to China that its 'dual circulation' approach is necessary. At the same time, its status as a key pillar in global supply chains means its economy remains inextricably linked with global trade, suggesting that anything that contributes to a further unbalancing of global trade may ultimately be to China's detriment, while obviously having serious repercussions for the rest of the world.

The EU's dilemma

The EU relies heavily on external trade, with the value of its imports and exports equivalent to 29 per cent of its GDP,²⁸ and the bloc is also the top trading partner of 80 countries, compared to just over 20 for the US.²⁹ The European economy's heavy reliance on exports means that, like China, it stands to lose significantly from a less globalised world.

The way the EU was both impacted by and reacted to China's expansion of export controls in 2025, as well as what has happened since, exemplifies the inherent danger of not yet having implemented policies that can ensure economic security. Initially billed as a bystander, the EU sought to work with China to minimise the collateral damage that its REE export controls caused to supply chains. It relied on an online system that leveraged cooperation with China to expedite licence applications. An upgraded version of this system was even agreed to at the highest political level during the July 2025 EU-China Summit,³⁰ further suggesting that China was keen to limit collateral damage caused to the EU.

Yet despite this and continual efforts by the European Chamber and EU officials at all levels, with numerous high- and technical-level meetings taking place in an attempt to find a solution,³¹ the export control crisis continues to drag on at the time of writing. Some European companies still have to wait months for licence approvals, if they are approved

24 This speech was translated from Chinese to English by CSIS Interpret. Part of the quote has been modified from CSIS Interpret's translation to address an error.

25 *Major Issues Concerning China's Strategies for Mid-to-Long-Term Economic and Social Development*, CSIS Interpret: China, 31st October 2020, viewed 31st October 2025, <<https://interpret.csis.org/translations/major-issues-concerning-chinas-strategies-for-mid-to-long-term-economic-and-social-development/>>

26 Xi, J., *Major Issues Concerning China's Strategies for Mid-to-Long-Term Economic and Social Development*, qstheory.cn, 31st October 2020, viewed 31st October 2025, <https://www.qstheory.cn/dukan/qs/2020-10/31/c_1126680390.htm>

27 *Made in China 2025: The Cost of Technological Leadership*, European Chamber, 16th April 2025, viewed 24th October 2025, <https://www.europeanchamber.com.cn/en/publications-archive/1274/Made_in_China_2025_The_Cost_of_Technological_Leadership>

28 *Can Europe afford to be the world's last free-trader?*, *The Economist*, 6th February 2025, viewed 1st November 2025, <<https://www.economist.com/europe/2025/02/06/can-europe-afford-to-be-the-worlds-last-free-trader>>

29 *EU position in world trade*, European Commission, viewed 1st November 2025, <https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/eu-position-world-trade_en>

30 *Statement by President von der Leyen with President Costa following the EU-China Summit*, European Commission, 24th July 2025, viewed 16th October 2025, <https://ec.europa.eu/commission/presscorner/detail/en/statement_25_1903>

31 Zhang, Z., *Beijing seeking a win-win in EU talks*, *China Daily*, 31st October 2025, viewed 11th November 2025, <<https://www.chinadaily.com.cn/a/202510/31/WS690411eda310f735438b7f82.html>>

at all, and many face production stoppages and significant revenue losses.³²

The EU's leadership appeared to reach a breaking point after China announced additional export controls on 9th October 2025—this time with extraterritorial scope—with European Commission President Ursula von der Leyen saying shortly after that, “Europe cannot do things the same way anymore. We learned this lesson painfully with energy; we will not repeat it with critical materials.”³³

Then, in late October 2025, a US-China negotiated deal led to the abrupt postponement of the 9th October controls.³⁴ Although the deal did not lead to the export controls announced in April 2025 being rescinded, it was a welcome and positive development for businesses. However, it also indicated that Europe does not seem to hold the same negotiating power that the US does.

At the same time, while some of the EU's perceived weakness is due to its structure—with the need to find consensus among 27 individual member states making quick and decisive action difficult—as well as its principled approach, China has repeatedly demonstrated that the EU is not its top priority.³⁵ Meanwhile, the US' hyper-transactional approach, despite creating high-risk situations, continues to garner China's full attention.

Going forward, the EU faces a dilemma. It can continue to take measured and precise actions, adhering to WTO principles to the greatest extent possible, or it can transition to playing by the rules that China and the US have already adopted, defining and defending its interests even if doing so chips away at globalisation. In all likelihood, given the status of the EU as a supranational institution—and its inability to act decisively in the same way that China and the US can—it will land somewhere in the middle of these two approaches.

Global companies looking for solid ground

Even if globalisation's current direction of travel is relatively clear, the road it is on is full of twists and turns with the destination still unknown. Several factors—from armed conflict to country-specific regulatory shifts—that have made the management of global supply chains more difficult are not going to go away, and the level of geopolitical competition between nations that is further fuelling global tensions is unlikely to abate. This means companies need to prepare for a future in which navigating an ever more complex global business environment becomes the norm, and in which their risk management efforts increasingly have to encompass managing uncertainty.³⁶

Although China's unmatched industrial clusters make it an irreplaceable part of the global manufacturing ecosystem for now, companies can no longer purely focus on the cost and efficiencies that this infrastructure provides. Instead, adaptability and above all resilience—often at the expense of cost and efficiency—are needed for companies to remain commercially viable.

Recent ‘black swan’ events—including COVID-19 and Russia's invasion of Ukraine—have shown companies must try to prepare for drastic possibilities. This has led to a significant strategic shift from ‘just in time’ to ‘just in case’ thinking

32 The European Chamber gathered information from its members on the status of REE export control licence applications throughout August and early September 2025. Seven instances of production stoppages were reported in August 2025, with 46 expected in September 2025. At least one member reported losses, along with their Chinese suppliers, of millions of euros.

33 *Speech by President von der Leyen at the 2025 Berlin Global Dialogue*, European Commission, 25th October 2025, viewed 1st November 2025, <https://ec.europa.eu/commission/presscorner/detail/da/speech_25_2515>

34 *China Focus: China unveils outcomes of China-U.S. economic, trade talks in Kuala Lumpur*, Xinhua, 30th October 2025, viewed 1st November 2025, <<http://www.chinaview.cn/20251030/1fecb04e94d24893a7307b90497cc148/c.html>>

35 Ekman, A., *China's turn towards the 'Global South': Europe is not Beijing's priority*, European Union Institute for Security Studies, <<https://www.iss.europa.eu/publications/commentary/chinas-turn-towards-global-south-europe-not-beijings-priority>>

36 Businesses thrive on assessing and managing risk, not uncertainty. Risk and uncertainty are fundamentally different, with the latter describing something to which no probability can be assigned. Potential developments that cannot be quantified enter the territory of uncertainty, with businesses unable to reasonably factor them into their decision-making process. Knight, F., *Risk, Uncertainty and Profit*, Houghton Mifflin Company, Boston & New York, 1921.



in supply chain design.³⁷ In practice, this often means making adjustments like securing at least two suppliers for each input and working to end single-country dependencies, the latter often being China given how critical a role it plays in supply chains.

In such an environment, China could be working to reassure companies that its ecosystem is one they can depend on, regardless of external geopolitical developments. Instead, focus remains very much on its self-reliance drive, and—much like its approach to global trade—the country seems to be extracting what it can from foreign investment with perhaps not enough attention being paid to ensuring that it remains a viable destination for foreign direct investment in the long term. This often manifests itself in policy decisions that—while being aimed at increasing self-reliance—do not go quite so far as to push foreign companies to exit the market.

One example of this is the impending introduction of a 20 per cent price evaluation preference in government procurement for products that qualify as ‘domestically produced’, which essentially forces foreign companies to further onshore into China to stay competitive.³⁸ The new policy—which comes into effect on 1st January 2026—contains a specific provision prohibiting discrimination against foreign companies and brands as long as they meet the localisation requirements it sets out. Some companies that took the gamble of onshoring research and development (R&D) and supply chains in a bid to gain ‘made in China’ status cautiously view this development as confirmation that their approach will pay off. At the same time, many remain wary that the long-standing informal discrimination against foreign brands in government and public procurement is here to stay. Situations like this add to the difficulty of decision-making for foreign companies in China. Although they want to remain in the market for as long as they can, while being integrated with their global operations to the greatest extent possible, justification becomes ever more difficult in a business environment that increasingly takes more than it gives back.

The ‘in China, for China’ model that many companies have adopted—partly as a result of China’s more inward-looking policy environment—has been one way for foreign companies to meet localisation requirements. Indeed, the fact that so many of them have done so somewhat validates China’s decision to compel onshoring in this way. At the same time, the ‘in China, for China’ model discourages or sometimes prevents some of these companies from keeping their China operations fully integrated into their global supply chains,³⁹ which is less than ideal from a Chinese point of view.

Companies and Chinese policymakers therefore seem to be descending on an undesirable outcome – one in which Chinese supply chains could see declining global influence while companies lose the ability to leverage China’s advantages across their global operations.

While much of the uncertainty that companies face globally is out of China’s direct control, the extent of the country’s current integration with global supply chains gives it considerable influence over corporate decision-making. By continuing to use this to advance its self-reliance aims, China is increasing the global uncertainty that companies are facing rather than serving as a haven from it.

The extent to which China will continue to capitalise on its current position in global supply chains is therefore contingent upon how it balances its advantages as a manufacturing destination against its industrial and economic policies, particularly those that raise questions over the stability and predictability of its business environment.

37 ‘Just-in-time’ is a supply chain management strategy in which goods—including both inputs and finished products—arrive at their destination just as they are needed, allowing businesses to reduce costs associated with holding a large inventory. Under a ‘just-in-case’ strategy, businesses hold larger inventories so that unexpected disruptions or shifts in demand do not compromise their supply chains. Banton, C., *Just-in-Time (JIT): Definition, Example, Pros, and Cons*, Investopedia, 22nd February 2025, viewed 21st October 2025, <<https://www.investopedia.com/terms/j/jit.asp>>; Banton, C., *Just in Case (JIC): What it is, How it Works, Examples*, Investopedia, 22nd February 2025, viewed 21st October 2025, <<https://www.investopedia.com/terms/j/jic.asp>>

38 *Notice on Implementing Domestic Product Standards and Related Policies in Government Procurement*, Ministry of Finance, 30th September 2025, viewed 15th October 2025, <https://www.mof.gov.cn/zhengwuxinxi/caizhengxinwen/202509/t20250930_3973725.htm>

39 For example, if a company has to substitute optimal components that are used in its products sold in the rest of the world for suboptimal ones in order to meet localisation requirements in China.

Unprecedented uncertainty driving companies to rethink supply chains globally

The COVID-19 pandemic brought an unexpected and prolonged disruption to global supply chains. Erratic demand shifts—first driven by an urgent need for medical supplies and later by changes in consumption patterns—put immense strain on both manufacturers and logistics providers. Restrictions on the movement of people further added to the disruption. Despite this, businesses were remarkably quick to adapt and ensure operational continuity. Medicines were delivered by charter flights and workers slept on factory floors, all with the intention of keeping the supply of essential and non-essential goods in motion. The crisis—billed by some as a once-in-a-century pandemic—has come to an end, but instead of a reprieve, businesses are continuing to face a high level of external pressure on their supply chains. Global economic and trade instability, armed conflicts and an increasing web of well-intentioned, yet complex, regulations with global reach risk further economic fragmentation and deglobalisation.

Supply chains have coped with this added stress relatively well so far. For many businesses, the transition from 'just in time' to 'just in case' thinking that the COVID-19 pandemic gave rise to has resulted in supply chains that are more resilient. However, disruptions will still result in increased costs somewhere along the chain, even for the most sophisticated systems. Understanding where the breaking point of supply chains lies is not an exact science, and for many there could still be a high degree of elasticity between the present situation and an irreversible breakdown – but businesses cannot be sure of this. What is clear is that the level of uncertainty today means decisions are having to be made with more caution than ever before. The immediate cost is that businesses must sacrifice some degree of efficiency and/or accept higher costs to ensure stability.

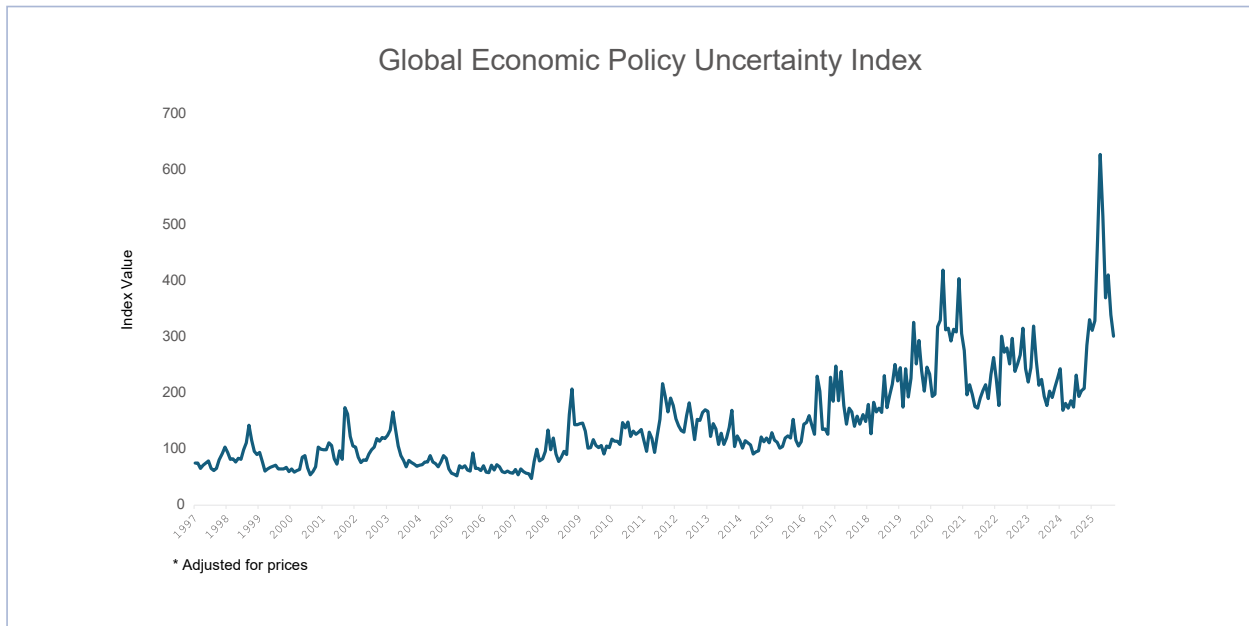
Global economic and trade uncertainty

For most companies, while cost is still a core consideration, economic and trade uncertainty is having an increasing influence on supply chain decision-making. Sudden policy shifts—from tariffs to export controls—are fundamentally changing the way companies think about supply chains globally, but especially in China.

US tariffs and other measures

In 2025, global economic policy uncertainty spiked to a high not yet seen in the 21st century.⁴⁰ Much of this can be attributed to changes in the international environment following the second inauguration of Donald Trump as US president at the beginning of the year, which marked the beginning of a major transition in how the country approaches global trade.

⁴⁰ *Global Economic Policy Uncertainty Index*, Economic Policy Uncertainty, viewed 21st October 2025, <https://www.policyuncertainty.com/global_monthly.html>; Davis, S.J., *An Index of Global Economic Policy Uncertainty*, *Macroeconomic Review*, 9th October 2016, viewed 12th November 2025, <<https://static1.squarespace.com/static/5e2ea3a8097ed30c779bd707/5e305a3e898d7b14b76346da/1580227135606/Global+Economic+Policy+Uncertainty+9+October+2016.pdf>>



Source: Economic Policy Uncertainty⁴¹

On 2nd April 2025, President Trump announced unprecedented ‘liberation day’ tariffs, the most widespread tariff hike the US had attempted since the Great Depression-era Smoot-Hawley Tariff Act.⁴² The resulting tit-for-tat escalation between the US and China saw tariffs reach levels above 100 per cent, triggering fears of a complete trade stoppage.⁴³ Ultimately, negotiations between the two countries led to a short-term truce, but the damage was already done.⁴⁴ Companies were left either waiting for a more permanent resolution before making long-term decisions, or choosing to separate the US and China as much as possible in their supply chains, a process that is already underway to the extent that it is possible.

One of the key characteristics of ‘liberation day’ was the fact that tariffs were imposed not only on China but 57 other markets—including the EU—and were blanket tariffs rather than targeted at specific goods. This is what drove global uncertainty to record highs. Companies that were moving US export production from China to other countries in regions such as Southeast Asia suddenly found their destination countries subject to prohibitively high tariffs as well.

While some key markets like the EU and Japan agreed trade deals with the US,^{45&46} most countries that were impacted by the tariffs have not yet done so. China and the US agreed to a deal in late October 2025, which is to be renewed annually,⁴⁷ but given the erratic nature in which the tariffs were imposed in the first place, combined with sudden subsequent developments—including threats of additional tariffs—there is no guarantee that the deal will endure. One member interviewed for this report noted that under the current US administration, trade deals do little to restore certainty given that they could be abandoned at any time in favour of an abrupt reimposition of tariffs to meet the latest political goals.

⁴¹ *Ibid.*

⁴² Harithas, B., Meng, K., and Brown, E., “*Liberation Day*” Tariffs Explained, Center for Strategic & International Studies, 3rd April 2025, viewed 21st October 2025, <<https://www.csis.org/analysis/liberation-day-tariffs-explained>>

⁴³ Gordon, N., *Trump’s ‘punitive’ China tariffs could end trade between the world’s two largest economies—and that would be painful, volatile, and dangerous*, *Fortune*, 12th April 2025, viewed 21st October 2025, <<https://fortune.com/asia/2025/04/12/can-us-china-trade-survive-trump-tariffs/>>

⁴⁴ Luck, P., *Understanding the Temporary De-Escalation of the U.S.-China Trade War*, Center for Strategic & International Studies, 13th May 2025, viewed 21st October 2025, <<https://www.csis.org/analysis/understanding-temporary-de-escalation-us-china-trade-war>>

⁴⁵ *The EU-US trade deal: Restoring stability and predictability*, European Commission, 27th July 2025, viewed 22nd October 2025, <https://commission.europa.eu/topics/trade/eu-us-trade-deal_en>

⁴⁶ *Implementing the United States-Japan Agreement*, The White House, 4th September 2025, viewed 22nd October 2025, <<https://www.whitehouse.gov/presidential-actions/2025/09/implementing-the-united-states-japan-agreement/>>

⁴⁷ *Fact Sheet: President Donald J. Trump Strikes Deal on Economic and Trade Relations with China*, The White House, 1st November 2025, viewed 3rd November 2025, <<https://www.whitehouse.gov/fact-sheets/2025/11/fact-sheet-president-donald-j-trump-strikes-deal-on-economic-and-trade-relations-with-china/>>

The US has also unleashed other non-tariff measures, with many directly targeting China. Export controls are the most prominent, but more nuanced tools, such as port fees, have been deployed, further complicating supply chain decisions. In October 2025, both countries began to impose port fees on ships owned by the other, only to suspend them in November as part of the trade deal finalised in South Korea.^{48&49} In October 2025, the US also sanctioned a company that operates a crude oil terminal in the port of Lanshan in China's Shandong Province for its alleged role in receiving Iranian oil shipments, leading to carriers diverting shipments to other ports.⁵⁰

The web of US-led-Chinese-followed tariffs, export controls, sanctions and other measures became the greatest threat to global supply chain stability in 2025. While many of these tools have so far been used in moderation, the potential of a sudden escalation with more dramatic consequences remains on the table. Companies can only continue to react in real time, hoping first to maintain continuity of operations and then some degree of profitability.

The view from China

Under the current situation, the significantly higher level of global uncertainty is having a compound impact on companies operating in China, as they are stretched thinner in an attempt to mitigate risk across a wider area. Widespread global risk can, however, deflate perceived risks in China as overall uncertainty becomes the new norm.

With the US seemingly forfeiting its long-established role as a stable and predictable trade partner, having instigated a trade war that has negatively impacted global trade and raising tariffs against traditional allies, China is now perceived by some members interviewed for this report as being comparatively more reliable. This is also reflected to an extent across the European Chamber's broader membership: in its April 2025 *Flash Survey on the US-China Trade War*, 76 per cent of respondents reported increased political pressure from the US Government, compared to just 45 per cent reporting increased political pressure from the Chinese Government.⁵¹

However, while the perception of China relative to the US may have improved, confidence in the China market overall has decreased. The China policy uncertainty indices—which are based on the frequency of articles about uncertainty in economic and trade policy appearing in Chinese newspapers—capture the dynamic that has developed in recent years. While what stands out is the repeated occurrence of sudden, dramatic spikes in uncertainty—likely driven by specific developments in US-China trade tensions and the COVID-19 pandemic—what is more concerning is the fact that minimum levels of uncertainty are noticeably higher than a decade ago, especially for economic policy.

48 Cheng, E., *China retaliates against U.S. port fees with new charges on American ships*, CNBC, 10th October 2025, viewed 16th October 2025, <<https://www.cnbc.com/2025/10/10/china-retaliates-against-us-port-fees-with-charges-on-american-ships.html>>

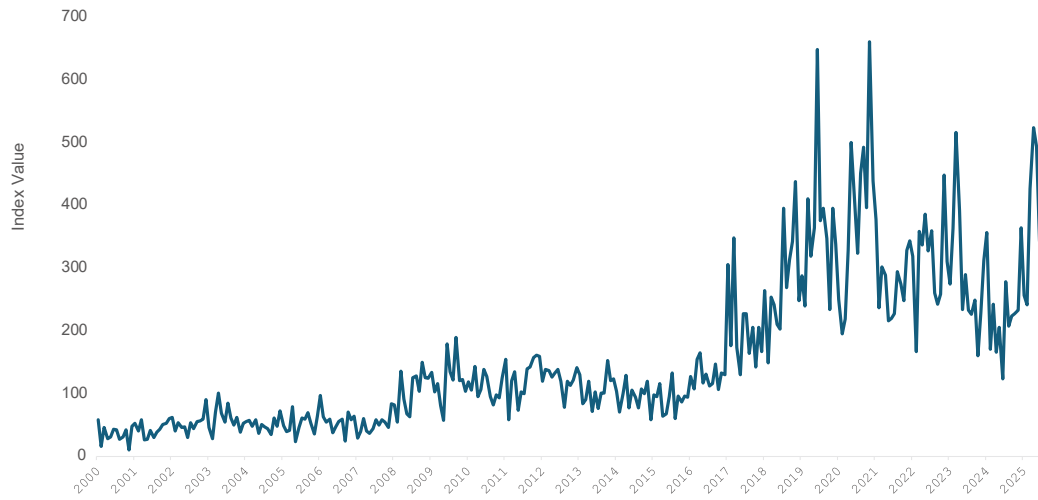
49 *Fact Sheet: President Donald J. Trump Strikes Deal on Economic and Trade Relations with China*, The White House, 1st November 2025, viewed 3rd November 2025, <<https://www.whitehouse.gov/fact-sheets/2025/11/fact-sheet-president-donald-j-trump-strikes-deal-on-economic-and-trade-relations-with-china/>>

50 Tan, F., Chen, A., and Sher, T., *Tanker diversions from sanctioned Chinese terminal may cause congestions at other ports*, Reuters, 15th October 2025, viewed 16th October 2025, <<https://www.reuters.com/world/asia-pacific/tanker-diversions-sanctioned-chinese-terminal-may-cause-congestion-other-ports-2025-10-15/>>

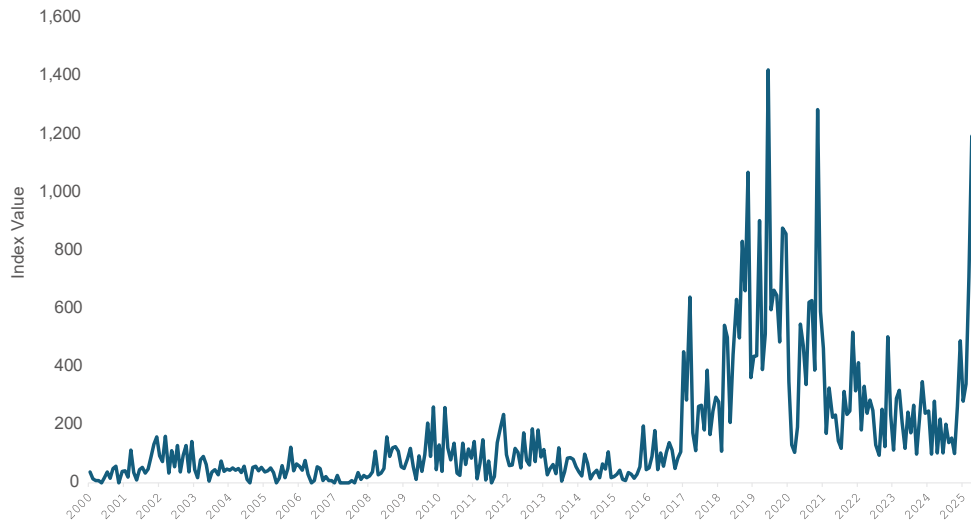
51 *Flash Survey on the US-China Trade War*, European Chamber, 8th May 2025, viewed 22nd October 2025, <<https://www.europeanchamber.com.cn/en/publications-flash-survey-trade-war>>



China Economic Policy Uncertainty Index



China Trade Policy Uncertainty Index



Source: Economic Policy Uncertainty⁵²

This higher baseline is likely driven by the compounding effect of numerous developments and shifts that occurred over time. When specific developments—such as flareups in the US-China trade war—take place on top of higher baseline uncertainty, the impact on the wider business environment is amplified. For example, despite the US-China trade war being a bilateral conflict, China's retaliatory measures—not least the October announcement of expanded export controls—have destabilised global supply chains and caused a great deal of damage to businesses of all nationalities, including European.

⁵² *China Policy Uncertainty Indices Based on Mainland Papers*, Economic Policy Uncertainty, viewed 21st October 2025, <https://www.policyuncertainty.com/china_monthly.html>; Davis, S.J., Liu, D., and Sheng, X., *Economic Policy Uncertainty in China Since 1949: The View from Mainland Newspapers*, 21st August 2019, viewed 12th November 2025, <<https://static1.squarespace.com/static/5e2ea3a8097ed30c779bd707/t/5f7f49d054a84229354fe9ab/1602177496854/EPU+in+China%2C+View+from+Mainland+Newspapers%2C+August+2019.pdf>>

This is exerting enormous pressure on many decision makers of European Chamber member companies. For many, the China market is their second or third most important, making it a high priority, while the US is their top market globally by a wide margin, making it indispensable. These companies must walk a fine line that avoids upsetting either side.

Even for those that have adopted an ‘in China for China’ strategy and have supply chains that are close to 100 per cent onshored, they may still rely on US imports for certain components that they cannot source from other markets or within China. Other companies are caught in a difficult geopolitical balancing act in which they are hesitant to reduce US-based production out of a fear of retaliation.

The state of the WTO

China’s accession to the WTO set the stage for its predominant role in global supply chains today, but the system that it has benefitted from has been pushed to the brink of collapse.

In principle, WTO members are required to charge the same tariff rates to all other members, unless two or more markets reach a free trade deal that eliminates tariffs altogether.⁵³ The extensive global rollout of tariffs by the US, and subsequent bilateral trade deals that it reached in 2025, including the EU-US trade deal, violate this rule.^{54,55} While the EU has been a consistent defender of the WTO, the EU-US trade deal is a sign that this commitment is becoming unsustainable.

In September 2025, Chinese Premier Li Qiang announced that China would not seek the special treatment afforded to developing countries in future WTO talks.⁵⁶ This decision has been widely welcomed as a first step to WTO reform, but is also perhaps a tacit acknowledgment by China of the way it has been unfavourably perceived by global trading partners, not least the US. Much of the more extreme rhetoric coming out of the US surrounding the actions it has taken that have resulted in the upending of the global trade order is rooted in domestic political sentiment, which is ostensibly about putting ‘America first’. But many of the US’ concerns about the WTO and what China’s admission into the body has allowed the country to gain—as well as how it has managed to make those gains—are long-standing and shared by other markets.

China’s trading partners are increasingly concerned about their own economic security and industrial resilience, given the effect imports from China have had on their domestic industries. It is only to be expected that these countries will begin to attach greater importance to increasing self-reliance, as China has done for decades.

While the future of the WTO remains clouded in uncertainty, maintaining its principles to the greatest extent possible is in both China’s and the EU’s interests, as long as both are equally committed to doing so. Making a convincing case in this regard, and demonstrating that the EU-China relationship can continue to deliver mutually beneficial outcomes, would necessitate China taking meaningful action to address how its exports are currently affecting global markets.

⁵³ *Principles of the trading system*, WTO, viewed 24th October 2025, <https://www.wto.org/english/thewto_e/whatis_e/tif_e/fact2_e.htm>

⁵⁴ *China issues 2025 report accusing US of undermining WTO rules, disrupting global trade*, *Global Times*, 17th October 2025, viewed 24th October 2025, <<https://www.globaltimes.cn/page/202510/1345945.shtml>>

⁵⁵ *Gijs, C., EU concedes trade deal with Trump falls short of WTO rules*, *Politico*, 24th September 2025, viewed 24th October 2025, <<https://www.politico.eu/article/eu-concedes-trade-deal-with-us-donald-trump-falls-short-of-wto-rules-sabine-weyand/>>

⁵⁶ *China to Give Up Special Treatment in Future WTO Talks, Premier Says*, *Caixin*, 24th September 2025, viewed 15th October 2025, <<https://www.caixinglobal.com/2025-09-24/china-to-give-up-special-treatment-in-future-wto-talks-102365646.html>>



Armed conflict

While the way armed conflict is perceived is highly susceptible to distortion, often due to sensationalist media coverage, today's world is objectively seeing more violence between states than at any time during the 21st century. The Global Peace Index 2025 reported 59 “active state-based conflicts”, the most since the end of the Second World War.⁵⁷ A total of 78 states have been involved in conflict beyond their borders, every global region except for South America saw a deterioration in peacefulness and global militarisation rates increased for the second year in row, further reversing a 15-year downward trend in this regard.⁵⁸

To an extent, healthy trade relationships can help prevent armed conflict.⁵⁹ It therefore follows that a prevalence of armed conflict globally increases geopolitical fragmentation and heightens uncertainty, making it more difficult for corporate and government decision makers to garner the long-term trust needed to both maintain existing and build new trade relationships. This dynamic provides a reason for states to take actions in the name of national security that can have a highly disruptive impact on supply chains. For example, China has cited national security concerns in the face of global instability and ongoing armed conflict as justification for its expansion of export controls on dual-use items,⁶⁰ a claim disputed by trade partners. The US also frequently cites national security concerns before taking actions with trade-related goals, with one recent example being the introduction of port fees on Chinese-owned or built vessels docking in the US, which followed an executive order that invoked national security and defence concerns.^{61&62} The fact that both of these measures were subsequently used as bargaining chips in US-China trade negotiations suggests that they were perhaps not as related to national security as originally billed.⁶³

While no single conflict has so far dismantled global supply chains, each one chips away at corporate confidence and further narrows companies' options in terms of both sourcing and logistics. Decision makers are taking note as well, with ‘state-based armed conflict’ ranking first among risks “most likely to present a material crisis on a global scale in 2025” in a 2024 World Economic Forum survey of “experts across academia, business, government, international organisations and civil society”, jumping from eighth place the year before.⁶⁴ Given that key governance and business decisions are often made based on how risk is perceived, the increased presence of armed conflict in general is enough to have an indirect, albeit tangible, impact on both corporate and government strategy globally.

Russia's war of aggression

On top of the unnecessary, senseless deaths and immense suffering that it has caused, Russia's illegal and unjustified invasion of Ukraine in February 2022 had global ramifications for supply chains, which it has been estimated will inflict indirect suffering on millions of innocent people for years to come.⁶⁵ The two countries—Europe's largest and second

57 *Global Peace Index 2025: Identifying and Measuring the Factors that Drive Peace*, Institute for Economics & Peace, June 2025, viewed 14th October 2025, <<http://visionofhumanity.org/resources>>

58 *Ibid.*

59 Call, M., *Trading Away from Conflict: Using Trade to Increase Resilience in Fragile States*, World Bank, 2015, viewed 14th October 2025, <<https://www.worldbank.org/en/topic/trade/publication/trading-away-from-conflict>>

60 *Spokesperson for the Ministry of Commerce Responds to Journalists' Questions Regarding China's Recent Trade and Economic Policy Measures*, MOFCOM, 12th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/xwfb/xwfytrth/art/2025/art_98a53fdad5f847ed8cab0f93f4f4bf7a.html>

61 *Restoring America's Maritime Dominance*, The White House, 9th April 2025, viewed 24th October 2025, <<https://www.whitehouse.gov/presidential-actions/2025/04/restoring-americas-maritime-dominance/>>

62 *Proposed Action in Section 301 Investigation of China's Targeting of the Maritime, Logistics, and Shipbuilding Sectors for Dominance*, Federal Register, 27th February 2025, viewed 24th October 2025, <<https://www.federalregister.gov/documents/2025/02/27/2025-03134/proposed-action-in-section-301-investigation-of-chinas-targeting-of-the-maritime-logistics-and>>

63 *Fact Sheet: President Donald J. Trump Strikes Deal on Economic and Trade Relations with China*, The White House, 1st November 2025, viewed 3rd November 2025, <<https://www.whitehouse.gov/fact-sheets/2025/11/fact-sheet-president-donald-j-trump-strikes-deal-on-economic-and-trade-relations-with-china/>>

64 *Global Risks 2025: A world of growing divisions*, World Economic Forum, 15th January 2025, viewed 21st October 2025, <<https://www.weforum.org/publications/global-risks-report-2025/in-full/global-risks-2025-a-world-of-growing-divisions-c943fe3ba0/>>

65 The EU considers Russia's invasion of Ukraine to be a violation of the *United Nations Charter (Charter)*. Its actions were inconsistent with Article 2(4) of the *Charter*. Although Russia has claimed that its invasion is justified under Article 51 of the *Charter*, which provides for the use of force as a response to an armed attack, Ukraine did not commit any such attack towards Russia prior to its invasion. See: *EU response to Russia's war of aggression against Ukraine*, European Council / Council of the European Union, 5th February 2025, viewed 21st October 2025, <<https://www.consilium.europa.eu/en/policies/eu-response-russia-military-aggression-against-ukraine-archive/>> ; Bellinger, J.B., *How Russia's Invasion of Ukraine Violates International Law*, Council on Foreign Relations, 28th February 2022, viewed 21st October 2025, <<https://www.cfr.org/article/how-russias-invasion-ukraine-violates-international-law>>

largest by land area—are major producers and exporters of agricultural products as well as fertiliser, meaning that the invasion led to a sudden disruption to global food supplies.⁶⁶ While the initial shock has faded, such disruptions can reverberate for years.

Staple foods like wheat are relatively uniform products, and the high degree of flexibility in food supply chains meant that consumers in developed countries still found flour readily accessible. The pain was felt most acutely by the least developed countries—many already heavily reliant on Ukrainian wheat—where higher prices can make basic food products unaffordable.⁶⁷ So, while the initial shock to global wheat supplies that the invasion caused has become a distant memory to many in the developed world, it will continue to have a devastating impact on developing nations: a 2023 projection published by the Food and Agriculture Organization of the United Nations found that an additional 23 million people worldwide will be chronically undernourished by 2030, compared to a scenario in which the war had not happened.⁶⁸

The war has affected strategic products like chips as well. Ukraine has historically been instrumental to the global supply of neon gas, which is essential for semiconductor production. According to some estimates, prior to the war the country produced as much as 70 per cent of the global supply of the gas and around 50 per cent of semiconductor-grade neon gas.⁶⁹ When the war began, several major production sites in Ukraine shut down due to Russian occupation, exerting significant pressure on global supplies.⁷⁰ The EU was particularly exposed, with nearly 50 per cent of its rare gas supplies—which include krypton, neon and xenon—coming from Ukraine and Russia. Ultimately, global supplies were plentiful enough that the gas could be obtained elsewhere, and technologies were developed to reduce the amount needed in semiconductor production, averting a worst-case scenario.⁷¹

Another important input for semiconductors—palladium—was also a risk point, with Russia making up over 40 per cent of global mining production.⁷² A decline in demand from the automotive industry—in which the largest volumes of palladium are used in internal combustion engines—helped stave off initial concerns, with the EU expected to increase reliance on other producers such as the US and South Africa in the future.⁷³ However, Russia's palladium industry remains the most competitive globally, making it harder for other markets to ramp up production in a commercially viable way.⁷⁴

Despite initial concerns, neither neon nor palladium proved to be breaking points, however they are now part of a growing number of strategic dependencies that the EU has identified and is working towards eliminating.⁷⁵ Additionally, even though the conflict alone has not singlehandedly disrupted semiconductor production, it has added to a long list of factors straining the global chip supply chain, further limiting flexibility in the event of other crises emerging.

Logistical disruptions have continued as Russian airspace has remained closed to European air carriers, and the ongoing conflict has necessitated the closing of Ukrainian airspace to all commercial aircraft. In 2023, Russia

66 Haren, P., and Simchi-Levi, D., *How the War in Ukraine Is Further Disrupting Global Supply Chains*, Harvard Business Review, 17th March 2022, viewed 14th October 2025, <<https://hbr.org/2022/03/how-the-war-in-ukraine-is-further-disrupting-global-supply-chains>>

67 *How the Russian invasion of Ukraine has further aggravated the global food crisis*, European Council / Council of the European Union, 31st January 2025, viewed 21st October 2025, <<https://www.consilium.europa.eu/en/infographics/how-the-russian-invasion-of-ukraine-has-further-aggravated-the-global-food-crisis/>>

68 *The State of Food Security and Nutrition in the World 2023. Urbanization, agrifood systems transformation and healthy diets across the rural–urban continuum*, FAO, IFAD, UNICEF, WFP and WHO, 2023, viewed 14th October 2025, <<https://openknowledge.fao.org/handle/20.500.14283/cc3017en>>

69 *Rare Gases (Krypton, Neon, Xenon): Impact assessment for supply security*, European Commission Joint Research Centre, 2022, viewed 14th October 2025, <https://rmis.jrc.ec.europa.eu/uploads/JRC130349_01_rare_gases.pdf>

70 *Ibid.*

71 *Ibid.*

72 *Palladium: Impact assessment for supply security*, European Commission Joint Research Centre, 2023, viewed 14th October 2025, <rmis.jrc.ec.europa.eu/uploads/jrc133117_briefing_palladium_final.pdf>

73 *Rare Gases (Krypton, Neon, Xenon): Impact assessment for supply security*, European Commission Joint Research Centre, 2022, viewed 14th October 2025, <https://rmis.jrc.ec.europa.eu/uploads/JRC130349_01_rare_gases.pdf>

74 Baskaran, G., and Schwartz, M., *From Mine to Microchip: Addressing Critical Mineral Supply Chain Risks in Semiconductor Production*, Center for Strategic & International Studies, 7th October 2024, viewed 14th October 2025, <<https://www.csis.org/analysis/mine-microchip>>

75 Gehrke, T., *Putin's Critical Raw Materials are a Threat to EU Economic Security*, Egmont, 15th March 2022, viewed 21st October 2025, <<https://www.egmontinstitute.be/putins-critical-raw-materials-are-a-threat-to-eu-economic-security/>>



terminated a deal allowing the transit of grain from Ukraine through the Black Sea, cutting off a critical transit corridor and further exacerbating the war's impact on food prices.⁷⁶ While rail transport between China and the EU through Russia initially remained viable, the high stakes of the conflict mean that as of late 2025, this is no longer consistently the case.⁷⁷ Like disruptions to the production of specific goods, no logistical disruption resulting from Russia's invasion has yet devastated global supply chains, but each contributes to companies losing some degree of logistical flexibility while increasing their costs.

The Red Sea Crisis

Attacks by the Yemeni Ansar Allah movement (also known as the Houthis) on commercial ships transiting the Red Sea have put additional strain on global logistics. Since the strikes began in October 2023, carriers have diverted significant amounts of Asia-Europe traffic around southern Africa to avoid the region entirely. The EU and US have devoted naval resources to protecting civilian ships in the region, with the EU's operation ASPIDES escorting ships through high-risk areas.⁷⁸ A US-Ansar Allah ceasefire in May 2025 provided hope that the situation would stabilise, but since then there has been at least one attack on a European-owned ship transiting the Red Sea.⁷⁹

For European companies, this has resulted in longer shipping times and higher costs. Like Russia's invasion of Ukraine, while the disruptions in the Red Sea are not enough to completely derail global supply chains, they contribute to an accumulation of issues that make it more difficult for global trade to function efficiently. The degree of disruption experienced also varies greatly from company to company and even product to product. For example, one member company interviewed for this report noted that certain perishable food products they ship from the EU to China now have a shorter shelf life after delivery, pushing them to reduce timeframes elsewhere in the production process and sacrifice room for adjustments should further disruptions occur.

Global logistical stress at COVID-19 levels in 2025

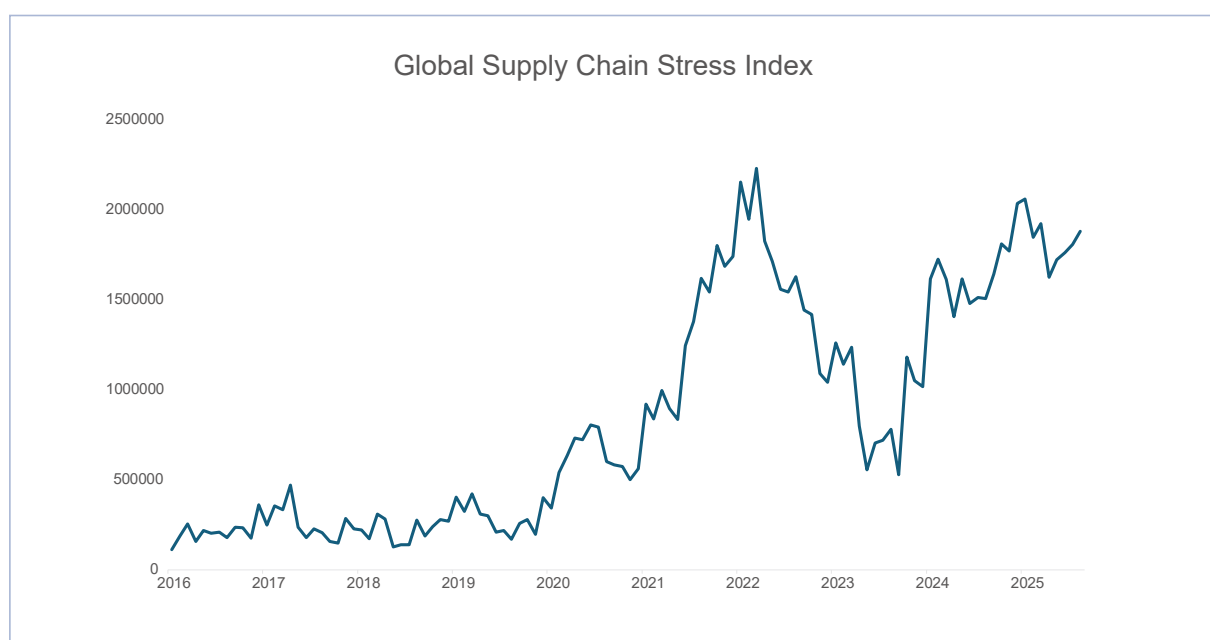
Stress on supply chains caused, in part, by armed conflict has had a cumulative impact globally. The World Bank's Global Supply Chain Stress Index—which measures container delays—has, since 2024, reached levels seen during the COVID-19 pandemic, with levels for 2025 getting close to the index's COVID-19 peak.

⁷⁶ Nichols, M., and Faulconbridge, G., *Black Sea grain deal expires after Russia quits*, Reuters, 18th July 2023, viewed 16th October 2025, <<https://www.reuters.com/world/europe/black-sea-grain-deal-expire-monday-if-russia-quits-2023-07-17/>>

⁷⁷ Li, X., *Poland's Closed Border With Belarus Strands Over 130 China-Europe Freight Trains*, Yicai Global, 23rd September 2025, viewed 14th October 2025, <<https://www.yicai.com/news/over-130-china-europe-freight-trains-get-stranded-after-poland-shuts-border-with-belarus>>

⁷⁸ Nagi, A., *The Houthis' Red Sea Attacks Explained*, International Crisis Group, 3rd April 2025, viewed 14th October 2025, <<https://www.crisisgroup.org/visual-explainers/red-sea/>>

⁷⁹ *Yemen's Houthis claim missile strike on Dutch-flagged freighter in Gulf of Aden*, Associated Press, 1st October 2025, viewed 14th October 2025, <<https://www.scmp.com/news/world/middle-east/article/3327464/yemens-houthis-claim-missile-strike-dutch-flagged-freighter-gulf-aden>>



Source: World Bank Group⁸⁰

Logistics providers have demonstrated a remarkable ability to adapt, so that their customers have not seen significant disruptions from the heightened stress, although transit times and costs have both increased. Many European companies in China have also made extensive efforts to further onshore or nearshore their supply chains – while this has been done largely to mitigate regulatory and geopolitical factors it has also reduced their exposure to logistical disruptions. However, most companies still need efficient and affordable trans-continental logistics services.

One member company interviewed for this report, which relies on imports from the EU for the China market, noted that a potential disruption to traffic in the Strait of Malacca was a top concern. China's leadership has long been concerned about the chokepoint between Malaysia, Singapore and Indonesia, with Chinese President Hu Jintao coining the term 'Malacca Dilemma' in 2003 due to concerns about China's reliance on oil that passes through the strait.⁸¹ Since then, China has worked to reduce its reliance on the Malacca Strait for oil transit, but this does little to alleviate risks related to the transit of goods from Europe that are already suffering from longer shipping times due to the Red Sea Crisis. For time-sensitive or perishable products, any additional logistical disruption could make air freight the only option, the cost of which may render them uncompetitive.

Regulatory uncertainty

EU regulation

The EU's complex web of supply chain-related regulations (see table below)—some of which have not been implemented and/or are under reconsideration—creates yet more uncertainty that companies must somehow factor into business planning.

⁸⁰ *Global Supply Chain Stress Index*, World Bank Group, viewed 12th November 2025, <<https://www.worldbank.org/en/data/interactive/2025/04/08/global-supply-chain-stress-index>>; Arvis, J., Rastogi, C., Rodrigue, J., and Ulybina, D., *A Metric of Global Maritime Supply Chain Disruptions: The Global Supply Chain Stress Index (GSCSI) Policy Research Working Paper*, World Bank Group, Washington DC, 2024, viewed 12th November 2025, <<http://documents.worldbank.org/curated/en/099746107032431443>>

⁸¹ Paszak, P., *China and the "Malacca Dilemma"*, Warsaw Institute, 28th February 2021, viewed 14th October 2025, <<https://warsawinstitute.org/china-malacca-dilemma/>>



EU regulation	Corporate requirements	Status
Corporate Sustainability Due Diligence Directive (CSDDD) ⁸²	Conduct due diligence to ensure supply chains are free of adverse human rights and environmental impacts.	The CSDDD entered into force in July 2024, but its future is now uncertain following proposed simplification and narrowing of scope in the 'Omnibus' package. ⁸³
Carbon Border Adjustment Mechanism (CBAM) ⁸⁴	Pay a tax on carbon emitted to produce certain products brought into the Single Market from outside the EU.	Entered into force in May 2023, with a transitional reporting-only phase from October 2023 to present. Tax collection is set to begin in January 2026 for six product categories, with further expansion by 2030.
Corporate Sustainability Reporting Directive (CSRD) ⁸⁵	Disclose environmental and social impact of business activities.	Reporting requirements began for some companies in 2024, but further narrowing of scope is proposed under the 'Omnibus' package. ⁸⁶
Regulation on Deforestation-free Products (EUDR) ⁸⁷	Upload geolocation information about the source of certain products being placed on the Single Market to ensure that they do not contribute to deforestation.	Entered into force in June 2023, with initial implementation planned for December 2024 but delayed until December 2025. ⁸⁸ In September 2025, the European Commission announced its intention to propose a second delay, ⁸⁹ only to reverse this decision in October 2025. ⁹⁰
Forced Labour Regulation ⁹¹	Ensure no products entering the EU are made with forced labour.	Entered into force in December 2024, with applicability planned by the end of 2027.

The regulations themselves, despite potentially conflicting with local regulations in China and other third countries, are well intentioned and basically in line with the existing environmental, social and governance goals of European companies. Some of them could also provide companies with EU backing to dig deeper into their supply chains, especially if the EU were to work with third-country governments to ease due diligence hurdles. The biggest challenge is the uncertainty surrounding these regulations, with the EU continuing to second guess the viability of some, while implementation of others remains unclear.

⁸² Directive (EU) 2024/1760 of the European Parliament and of the Council of 13 June 2024 on corporate sustainability due diligence and amending Directive (EU) 2019/1937 and Regulation (EU) 2023/2859 (Text with EEA relevance), EUR-Lex, 13th June 2024, viewed 22nd October 2025, <<https://eur-lex.europa.eu/eli/dir/2024/1760/oj>>

⁸³ Omnibus I - sustainability reporting - proposal amending CSRD and CSDDD, European Parliament, 20th September 2025, viewed 22nd October 2025, <<https://www.europarl.europa.eu/legislative-train/package-simplification-business/file-first-omnibus-package-on-sustainability-proposal-amending-csrd-and-csddd?sid=9501>>

⁸⁴ Carbon Border Adjustment Mechanism, European Commission, viewed 22nd October 2025, <https://taxation-customs.ec.europa.eu/carbon-border-adjustment-mechanism_en>

⁸⁵ Directive (EU) 2022/2464 of the European Parliament and of the Council of 14 December 2022 amending Regulation (EU) No 537/2014, Directive 2004/109/EC, Directive 2006/43/EC and Directive 2013/34/EU, as regards corporate sustainability reporting (Text with EEA relevance), EUR-Lex, 14th December 2022, viewed 22nd October 2025, <<https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:32022L2464>>

⁸⁶ Omnibus I - sustainability reporting - proposal amending CSRD and CSDDD, European Parliament, 20th September 2025, viewed 22nd October 2025, <<https://www.europarl.europa.eu/legislative-train/package-simplification-business/file-first-omnibus-package-on-sustainability-proposal-amending-csrd-and-csddd?sid=9501>>

⁸⁷ Regulation (EU) 2023/1115 of the European Parliament and of the Council of 31 May 2023 on the making available on the Union market and the export from the Union of certain commodities and products associated with deforestation and forest degradation and repealing Regulation (EU) No 995/2010 (Text with EEA relevance), EUR-Lex, 31st May 2025, viewed 22nd October 2025, <<https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A32023R1115&qid=1687867231461>>

⁸⁸ Application of EUDR Regulation on deforestation-free products delayed until December 2025, European Commission, 12th December 2024, viewed 22nd October 2025, <<https://trade.ec.europa.eu/access-to-markets/en/news/application-eudr-regulation-deforestation-free-products-delayed-until-december-2025>>

⁸⁹ Abnett, K., and Brice, M., EU to delay anti-deforestation law by another year, Reuters, 24th September 2025, viewed 22nd October 2025, <<https://www.reuters.com/sustainability/climate-energy/eu-will-delay-anti-deforestation-law-by-another-year-commissioner-says-2025-09-23/>>

⁹⁰ Commission proposes targeted measures to ensure the timely implementation of EU Deforestation Regulation, European Commission, 21st October 2025, viewed 22nd October 2025, <https://ec.europa.eu/commission/presscorner/detail/en/ip_25_2464>

⁹¹ Regulation (EU) 2024/3015 of the European Parliament and of the Council of 27 November 2024 on prohibiting products made with forced labour on the Union market and amending Directive (EU) 2019/1937 (Text with EEA relevance), EUR-Lex, 27th November 2024, viewed 22nd October 2025, <<https://eur-lex.europa.eu/eli/reg/2024/3015/oj/eng>>

The EU's 'Omnibus' simplification package proposed a rollback of obligations under both the CSDDD and the CSRD and a further reduction in their scope,⁹² but negotiations are ongoing even as both directives are in force, with a phased implementation of the CSRD having already begun.⁹³ The planned rollouts of these initiatives, especially the CSDDD, have created considerable controversy, which has been a major contributor to the lack of clarity over their future. The EU would benefit from conducting deeper consultations with industry during the drafting stages of future regulations and directives that will have a similarly broad reach, to ensure that they are practical and implementable, and to avoid any unintended outcomes.

The EUDR—which aims to ensure that products sold in the European Single Market do not contribute to deforestation or the degradation of forests—is another example of an EU regulation that, while well intentioned, was basically unworkable in its original form. Under the regulation, operators that sell certain products—namely “cattle, wood, cocoa, soy, palm oil, coffee, rubber, and some of their derived products, such as leather, chocolate, tyres, or furniture”—⁹⁴ will be required to provide geolocation information about the product's origins as part of the customs clearance process. This information will then be compared with a snapshot of global forests as of December 2020, to ensure that no new deforestation or forest degradation occurred as a result of the given product's manufacture. Under an initial version of the regulation, due diligence statements were required to be submitted by companies for each of their products as part of the customs clearance process, and then by every operator along the entire supply chain that places said product on the market.⁹⁵

This raises several concerns over its implementation. For one, it is unclear whether the type of due diligence required is legal in China specifically, especially given the need to upload geolocation information about natural resources within China's borders to an EU system. In April 2025—following an initial year-long delay to implementation—the European Commission announced further simplifications to reporting requirements.⁹⁶ While the simplifications—aimed at streamlining implementation and reducing the EUDR's burden on companies—were a welcome improvement, the regulation's feasibility remained in question, leading the European Commission to propose a second delay in September 2025.⁹⁷

Then, in October 2025, the European Commission proposed further measures to simplify reporting requirements—including eliminating the need for downstream operators to submit due diligence statements and adding an implementation period—with the hope that the EUDR could be implemented without further delay.⁹⁸ However, under this new proposal, geolocation information would still be required for goods to clear customs, meaning that the due diligence burden and potential conflict with third country laws remain an issue. With this announcement made just a little over two months before the planned implementation is set to begin, and the proposed grace period for large and medium companies only six months, there is limited time for companies to plan. Even then, these simplifications remain a proposal and are subject to discussion and amendment by the European Parliament and the Council of the EU.

While the EUDR's limited scope of products means that most European Chamber members will not be directly affected, the regulation has the potential to be extremely disruptive for those in sectors that are impacted. Compared to global economic and trade uncertainty, EU regulation was not a top concern among interviewees for this report,

92 *Omnibus I - sustainability reporting - proposal amending CSRD and CSDDD*, European Parliament, 20th September 2025, viewed 22nd October 2025, <<https://www.europarl.europa.eu/legislative-train/package-simplification-business/file-first-omnibus-package-on-sustainability-proposal-amending-csrd-and-csddd?sid=9501>>

93 *Corporate sustainability reporting*, European Commission, viewed 22nd October 2025, <https://finance.ec.europa.eu/capital-markets-union-and-financial-markets/company-reporting-and-auditing/company-reporting/corporate-sustainability-reporting_en>

94 *Regulation on Deforestation-free Products*, European Commission, viewed 14th October 2025, <https://environment.ec.europa.eu/topics/forests/deforestation/regulation-deforestation-free-products_en>

95 *Implementation of the EU Deforestation Regulation: Find out how to comply with EUDR*, European Commission, viewed 14th October 2025, <https://green-forum.ec.europa.eu/nature-and-biodiversity/deforestation-regulation-implementation_en#due-diligence>

96 *Commission takes action to simplify the implementation of the EU Deforestation Regulation*, European Commission, 15th April 2025, viewed 15th October 2025, <https://ec.europa.eu/commission/presscorner/api/files/document/print/en/ip_25_1063/IP_25_1063_EN.pdf>

97 Abnett, K., and Brice, M., *EU to delay anti-deforestation law by another year*, Reuters, 24th September 2025, viewed 22nd October 2025, <<https://www.reuters.com/sustainability/climate-energy/eu-will-delay-anti-deforestation-law-by-another-year-commissioner-says-2025-09-23/>>

98 *Commission proposes targeted measures to ensure the timely implementation of EU Deforestation Regulation*, European Commission, 21st October 2025, viewed 22nd October 2025, <https://ec.europa.eu/commission/presscorner/detail/en/ip_25_2464>



but it is an important, additional factor that companies must still consider when making strategic decisions about their supply chains. For the EUDR and other regulations to be optimal, companies need greater certainty and a practical path to implementation with sufficient time to adjust.

Regulatory islands

US and Chinese regulatory requirements are increasingly compelling companies to produce goods for each respective market that are free of components and software that originate from the other country. Companies with global supply chains must also ensure that components meet country requirements and that entity lists are respected.^{99,100&101}

The complex web of sanctions, export controls and other rules that companies must comply with constitute a significant burden. Unlike many of the EU's regulations, which have primarily environmental and social aims, and are thus largely in line with corporate goals, Chinese and US regulations often have an ill-defined strategic or national security angle that are not necessarily in companies' interests to support and/or compliance with them would incur significant operational disruptions and financial losses.

For example, US export controls require some companies, particularly in the ICT sector, to manufacture products for the China market that are intentionally suboptimal. Given that these suboptimal products are often manufactured using the same processes used for the optimal version, production costs remain the same even though the inferior product cannot be sold at the same markup.

Chinese localisation requirements often necessitate that components like chips in ICT products must be procured in China, meaning that companies need to develop entire supply chains just for the Chinese market, regardless of whether it makes commercial sense to do so.

China and the US are thereby becoming regulatory islands with companies now having to tailor every element of their operations to meet local requirements if they are to continue to participate in both markets. This is rapidly eroding the benefits of being a global business, with economies of scale being lost, as capacities that were once shared now have to be replicated in each market.

99 Bureau of Industry and Security, US Department of Commerce, viewed 22nd October 2025, <<https://www.bis.gov/entity-list>>

100 *Unreliable Entity List Regulations*, State Council, 19th September 2020, viewed 22nd October 2025, <https://www.gov.cn/gongbao/content/2020/content_5565829.htm>

101 *Notice on the Publication of the Export Control List for Dual-Use Items of the People's Republic of China*, MOFCOM, 15th November 2025, viewed 14th October 2025, <https://www.gov.cn/zhengce/zhengceku/202411/content_6987846.htm>

China – part of the solution or part of the problem?

China's unparalleled industrial clusters have made it an integral part of global supply chains, with the country now responsible for nearly a third of global manufacturing value added.¹⁰² However, this status is not guaranteed indefinitely. The sheer scale of economic challenges brought about by today's turbulent geopolitical landscape has resulted in actions being taken by states looking to mitigate risk, gain a strategic advantage or both, all of which could chip away at China's dominant position. Some efforts are underway by markets like the EU to develop policies that can reduce critical dependencies on China, particularly in areas of strategic concern;¹⁰³ while actions taken by markets like the US openly aim to constrain China's influence.¹⁰⁴ Meanwhile, China itself is developing a regulatory environment that is in many ways at odds with the aim of maintaining its role as the cornerstone of global supply chains.

The number one concern expressed by companies interviewed for this report was unequal treatment in the China market. Whether it be due to discrimination in public and government procurement or state-directed industrial policy, such as Made in China 2025 (MIC2025), European companies in China continue to operate on an unlevel playing field. Many are still able to find success in the market despite this, but China's WTO accession commitment to provide equal opportunities for foreign companies is at risk of being forgotten.

As Chinese companies edge closer to the technology frontier and continue to aggressively reduce pricing, European companies in some strategic sectors are being pushed out, due to regulatory barriers or formidable competition that has benefitted from China's industrial policies.

In an attempt to overcome regulatory barriers—especially in government- and public-procurement-driven sectors—that could result in a considerable reduction in their China footprints, or even market exit, many companies are adopting localisation strategies. While the aim is to have their products recognised as 'domestic' in order to be considered in procurement processes, foreign companies are cognisant of the fact that discrimination against foreign brands has been a persistent problem regardless of where products are designed or manufactured. One company interviewed for this report also acknowledged that while a company's product may be designated 'domestic' after meeting localisation requirements today, the goalposts as to what constitutes 'domestic' could still be moved tomorrow.

In response to increased competition, some European companies have chosen to abandon their traditional R&D strategies and emulate the same low-cost, fast-to-market model that has led to many of China's success stories. This model was adopted first by Chinese companies in response to a rapidly evolving consumer market that increasingly expects newer, more innovative products on a more regular basis. Pursuing this path can have negative consequences, such as the risk of releasing poor-quality products and the subsequent brand damage that it can cause. This approach also raises the possibility of products failing to be commercially successful, and this, combined with the pursuit of a low-cost strategy, means lower margins and therefore ultimately less to reinvest into R&D.

Those that are shifting their corporate strategies in response to fiercer competition and localisation requirements are doing so not just with a focus on their respective positions in the China market. They are also concerned that if they do not, they will lose market share and their ability to compete in China, and that in turn Chinese companies will rapidly scale up having taken the domestic market share they cede before comprehensively outcompeting them in global markets.

102 Venditti, B., *Ranked: Global Share of Manufacturing Value, by Country*, Visual Capitalist, 2nd May 2025, viewed 22nd October 2025, <<https://www.visualcapitalist.com/ranked-global-share-of-manufacturing-value-by-country/>>

103 The EU has maintained a "de-risking, not decoupling" approach to China which entails "reducing critical dependencies and vulnerabilities." See: *China*, European Commission, viewed 22nd October 2025, <https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/china_en>

104 The first Trump administration and the Biden administration both sought to counteract China's influence globally. See: Blinken, J., *The Administration's Approach to the People's Republic of China*, US Department of State, 26th May 2022, viewed 22nd October 2022, <<https://2021-2025.state.gov/the-administrations-approach-to-the-peoples-republic-of-china/>>; *United States Strategic Approach to the People's Republic of China*, White House, 26th May 2020, viewed 22nd October 2025, <<https://trumpwhitehouse.archives.gov/articles/united-states-strategic-approach-to-the-peoples-republic-of-china/>>



It may therefore appear that China has secured a strong strategic position, with leading foreign companies scrambling to ensure that they can remain competitive, even if it means further onshoring both R&D and production against their original strategic instincts. However, the now popular ‘in China, for China’ model does have some downsides, both for China and globalisation more broadly. For some companies, the act of onshoring results in siloing, leaving China operations isolated from the rest of the world. Others are still trying to piece China into a global puzzle, shifting exports from their China factories to regional neighbours and Europe instead of markets like the US. There are also companies shifting manufacturing of products once imported to China from the US to regional neighbours in northeast Asia, rather than onshoring into China in an effort to avoid bringing key technology to what they still see as a market with inadequate intellectual property protections.

When it comes to supply chain strategies, companies are remarkably pragmatic, continually reevaluating their decisions to remain as competitive as possible. China may therefore be at risk of lulling itself into a false sense of security about its current position in global supply chains, while taking regulatory decisions that can invite scepticism about the stability of its business environment. By sacrificing regulatory certainty for strategic gain, China may ultimately push companies to seek markets perceived to be more reliable.

Export controls

Export controls imposed by China became a feature of the US-China trade war in 2025. Although the Ministry of Commerce (MOFCOM) maintains that the purpose of China’s export controls is to prevent Chinese resources and technology from being used for military applications, the tit-for-tat nature in which they have been applied in retaliation for US actions, combined with their continually expanding scope, suggests that they are being used as a trade measure instead.

China’s Export Control Law entered into force in 2020, but the *Regulations on Export Control of Dual-use Items* (*Regulations*), which act as implementation guidelines for the country’s dual-use item export control regime, were not released until October 2024, and entered into force in December 2024.¹⁰⁵ The *Regulations* call for a ‘dual-use item list’, which contains goods that China considers to have both civilian and military uses, and outlines a system under which companies must obtain a licence from the MOFCOM before exporting restricted items. The initial version of the list, released in November 2024, was a consolidation of existing lists that did not expand China’s export control regime in practice, although it did add a coding system that notes a reason for the control of each specific item.¹⁰⁶ The *Regulations* state that this list will be updated as necessary and that relevant stakeholders, including chambers of commerce, can be consulted before adjustments are made – although this is not required.¹⁰⁷

The first update to the list came on 4th February 2025—just days after the US announced an additional 10 per cent tariff on China—with tungsten, tellurium, bismuth, molybdenum and indium added to the list just as the new US tariff came into effect.^{108&109} Then, on 4th April 2025, the MOFCOM abruptly added an extensive list of REEs to the list,¹¹⁰ just two days after the US’ ‘liberation day’ tariffs were announced. On the same day, the MOFCOM also added an

¹⁰⁵ *Regulations of the People's Republic of China on the Export Control of Dual-Use Items*, State Council, 19th October 2024, viewed 14th October 2025, <https://www.gov.cn/zhengce/zhengceku/202410/content_6981400.htm>

¹⁰⁶ *Notice on the Publication of the Export Control List for Dual-Use Items of the People's Republic of China*, MOFCOM, 15th November 2025, viewed 14th October 2025, <https://www.gov.cn/zhengce/zhengceku/202411/content_6987846.htm>

¹⁰⁷ The *Regulations* state that “the formulation and adjustment of the dual-use items export control list may involve consulting relevant enterprises, chambers of commerce, associations and other stakeholders in an appropriate manner, and conducting industrial surveys and assessments where necessary.” See: *Regulations of the People's Republic of China on the Export Control of Dual-Use Items*, State Council, 19th October 2024, viewed 14th October 2025, <https://www.gov.cn/zhengce/zhengceku/202410/content_6981400.htm>

¹⁰⁸ *Fact Sheet: President Donald J. Trump Imposes Tariffs on Imports from Canada, Mexico and China*, The White House, 1st February 2025, viewed 14th October 2025, <<https://www.whitehouse.gov/fact-sheets/2025/02/fact-sheet-president-donald-j-trump-imposes-tariffs-on-imports-from-canada-mexico-and-china/>>

¹⁰⁹ *Announcement of the Decision to Implement Export Controls on Items Related to Tungsten, Tellurium, Bismuth, Molybdenum and Indium*, MOFCOM, 4th February 2025, viewed 14th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_b31fd5c823484faea7595290eed12acc.html>

¹¹⁰ *Announcement No.18 of 2025 of The Ministry of Commerce and The General Administration of Customs of The People's Republic of China Announcing the decision to implement export control on some medium and heavy rare earth related items*, MOFCOM, 4th April 2025, viewed 14th October 2025, <https://english.mofcom.gov.cn/Policies/AnnouncementsOrders/art/2025/art_0dd87cbee7b045bf93fabe6ab2facee.html>

additional 16 US companies to its expanding 'export control restricted entity list',¹¹¹ banning the export of dual use items for use by these companies and making clear that their priority was retaliation against the US. The new export controls on REEs all carried a designation of 'for other national security-related factors' in their codes, which is a catch-all category. This tends to suggest that they did not fit into the other six potential categories outlining military uses,¹¹² and therefore serve as an example of how China can broadly invoke 'national security' concerns when it deems it necessary to do so.

While China may have been planning to expand its dual-use item list regardless of US actions, it appears that in this case decisions were taken to weaponise the list as a retaliatory measure against the US. No consultation with European stakeholders took place, and because China's export controls are country agnostic all companies exporting restricted products to any destination in the world are required to apply for export licences from the MOFCOM. The absence of a clear and reliable process for obtaining licences, as well as the uncertainty that the situation caused, resulted in a significant disruption to the global supply of essential resources, which led to production stoppages and lost revenue.¹¹³

In an attempt to prevent further disruptions, the European Commission established an Information Technology (IT) Tool,¹¹⁴ which allows European companies to submit information about their licence applications to the Commission, which can then forward requests for expedited processing to the MOFCOM. During the EU-China Summit in July 2025, the EU negotiated an improved version of this system with China, with Commission President Ursula von der Leyen saying, "if there are bottlenecks, this upgraded supply chain mechanism can immediately check and solve the issue that is out there."¹¹⁵

Following the summit, European companies hoped for an expedited approval process,¹¹⁶ but despite their use of the EU's IT Tool many companies continued to wait months for clearance. Extensive EU efforts at the highest levels to work with China on a pragmatic solution that would prevent supply chain disruptions had seemingly resulted in little progress.

Then, on 9th October 2025, China raised the stakes even further with yet another sweeping rollout of export controls, this time including lithium-ion battery technology, superhard materials and rare earth processing technology and equipment, and, for the first time, extraterritorial controls on products containing certain Chinese REEs or REEs

111 *Announcement of the Inclusion of 16 US Entities on the Export Control List*, MOFCOM, 4th April 2025, viewed 14th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_eba76b74d5e147c99fd86bc8a47c5b57.html>

112 The *Regulations* include seven published categories of reasons for control which correspond to a number that makes up the third digit of a controlled item's code. Categories include: (0) "Related to conventional weapons"; (1) "related to delivery systems for weapons of mass destruction"; (2) "related to non-nuclear proliferation"; (3) "related to chemical and biological weapons"; (4) "controlled chemicals"; (5) "temporary controls"; (9) "for other national security-related factors." Numbers six through eight were likely intentionally left open in case categories need to be added in the future. The expanded controls on 4th April 2025 all fell in category 9. See: *Regulations of the People's Republic of China on the Export Control of Dual-Use Items*, State Council, 19th October 2024, viewed 14th October 2025, <https://www.gov.cn/zhengce/zhengceku/202410/content_6981400.htm>; *Announcement No.18 of 2025 of The Ministry of Commerce and The General Administration of Customs of The People's Republic of China Announcing the decision to implement export control on some medium and heavy rare earth related items*, MOFCOM, 4th April 2025, viewed 14th October 2025, <https://english.mofcom.gov.cn/Policies/AnnouncementsOrders/art/2025/art_0dd87cbee7b045bf93fabe6ab2faceee.html>

113 The European Chamber gathered information from its members on the status of REE export control licence applications throughout August and early September 2025. Seven instances of production stoppages were reported in August 2025, with 46 expected in September 2025. At least one member reported losses, along with their Chinese suppliers, of millions of euros.

114 *Monitoring system for priority licenses*, European Commission, viewed 22nd October 2025, <<https://webgate.ec.europa.eu/rem/home>>

115 *Statement by President von der Leyen with President Costa following the EU-China Summit*, European Commission, 24th July 2025, viewed 16th October 2025, <https://ec.europa.eu/commission/presscorner/detail/en/statement_25_1903>

116 *Statement on the 25th EU-China Summit*, European Chamber, 25th July 2025, viewed 22nd October 2025, <https://www.europeanchamber.com.cn/en/press-releases/3738/statement_on_the_25th_eu_china_summit>



processed in China.^{117,118,119,120,121&122} The addition of extraterritorial provisions was particular cause for alarm, as it could be construed as an attempt to exert control over the global semiconductor industry by requiring companies exporting products—from anywhere in the world to anywhere else in the world—with more than 0.1 per cent of certain Chinese mined or processed REEs to obtain clearance from the MOFCOM. The MOFCOM's notice on extraterritorial export controls singles out semiconductors, stating that:

“export applications for end-uses involving the research and development, or production, of logic chips at 14 nanometres or below, or memory chips with 256 layers or above; the manufacture of production equipment, testing equipment, and materials for the aforementioned semiconductor processes; or the research and development of artificial intelligence with potential military applications shall be subject to case-by-case approval.”¹²³

Just as companies were working to assess the impact of China's 9th October 2025 export controls, another significant development emerged in the semiconductor sector. On 14th October 2025, the Netherlands-headquartered, majority-Chinese-owned semiconductor producer Nexperia announced that on 4th October 2025, the MOFCOM had enacted export controls that prohibit the company and its subcontractors from exporting “specific finished components and sub-assemblies manufactured in China”.¹²⁴

The move came as retaliation after the Dutch Enterprise Chamber—a judicial body—took the decision to remove Nexperia's CEO due to a stated lack of confidence in his ability to manage the company and placed the voting rights of Nexperia's Chinese parent company under the control of an independent administrator.^{125,126&127} The decision followed US demands that Nexperia's parent company—which is on a US restricted entity list—divest from the company and that its CEO be replaced.¹²⁸

The Government of the Netherlands claimed their decision—which invoked the country's Goods Availability Act—was taken to “prevent a situation in which the goods produced by Nexperia (finished and semi-finished products) would become unavailable in an emergency.”¹²⁹ They further explained that “signals of serious governance shortcomings and actions” at Nexperia “posed a threat to the continuity and safeguarding on Dutch and European soil of crucial technological knowledge and capabilities.”¹³⁰ In response, China criticised the Netherlands for its “overly-broad application of the concept of national security”, accused the country of bowing to US pressure and vowed to take

117 *Announcement No. 58 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision to Implement Export Controls on Items Related to Lithium Batteries and Artificial Graphite Anode Materials*, MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_aacba813b5b04e79a530aee7223b74a0.html>

118 *Announcement No. 61 of 2025 by the Ministry of Commerce Decision on the Implementation of Export Controls on Relevant Rare Earth Items Overseas*, MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_e1b8bcd4bcb84eba9e1adc56b4101157.html>

119 *Announcement No. 62 of 2025 by the Ministry of Commerce Decision on the Implementation of Export Controls on Rare Earth-Related Technologies*, MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_45be37e549f44e91a2c2b2f16389687a.html>

120 *Announcement No. 55 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision on the Implementation of Export Controls on Items Related to Superhard Materials*, MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_333950798cb04c7a8c517cdec9c564c.html>

121 *Announcement No. 56 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision to Implement Export Controls on Certain Rare Earth Equipment and Related Raw and Auxiliary Materials*, MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_9ee7af86f4274dc1ad16d6d6a5e47245.html>

122 *Announcement No. 57 of 2025 by the Ministry of Commerce and the General Administration of Customs Decision on Implementing Export Controls on Certain Medium and Heavy Rare Earth-Related Items*, MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_1ace3f9f948845758206ad0be6869161.html>

123 *Announcement No. 61 of 2025 by the Ministry of Commerce Decision on the Implementation of Export Controls on Relevant Rare Earth Items Overseas*, MOFCOM, 9th October 2025, viewed 16th October 2025, <https://www.mofcom.gov.cn/zcfb/blgg/art/2025/art_e1b8bcd4bcb84eba9e1adc56b4101157.html>

124 *Update on company developments*, Nexperia, 14th October 2025, viewed 23rd October 2025, <<https://www.nexperia.com/about/news-events/press-releases/update-on-company-developments>>

125 *Ibid.*

126 Jacob, S., *China Puts Export Controls on Nexperia After Dutch Takeover*, Bloomberg, 14th October 2025, viewed 22nd October 2025, <<https://www.bloomberg.com/news/articles/2025-10-14/china-puts-export-controls-on-nexperia-after-dutch-takeover>>

127 *Enterprise Chamber of the Amsterdam Court of Appeal*, AMS Advocaten, viewed 23rd October 2025, <<https://www.amsadvocaten.com/dictionary/corporate-law/enterprise-chamber-of-the-amsterdam-court-of-appeal/>>

128 Bermingham, F., *US warned Dutch months ago that Nexperia CEO must go to avoid entity list fallout: court*, South China Morning Post, 14th October 2025, viewed 4th November 2025, <<https://www.scmp.com/news/china/diplomacy/article/3329003/us-warned-dutch-months-ago-nexperia-ceo-must-go-avoid-entity-list-fallout-court>>

129 *Minister of Economic Affairs invokes Goods Availability Act*, Government of the Netherlands, 12th October 2025, viewed 29th October 2025, <<https://www.government.nl/latest/news/2025/10/12/minister-of-economic-affairs-invokes-goods-availability-act>>

130 *Ibid.*

“necessary measures to protect the legitimate rights and interests of Chinese enterprises”.¹³¹

Nexperia, which has nearly 10 per cent global market share and produces more than 110 billion units annually,¹³² is a key part of many companies’ supply chains. There are often significant technical barriers to swapping out chips in products that have already been designed, even if alternatives can be obtained, so losing access to just one chip supplier can be devastating for impacted companies. China’s retaliation—this time for a judicial decision in the Netherlands—once again demonstrated a willingness to leverage its control over strategic products when it deems necessary, even if the collateral damage has the potential to be significant. The case also demonstrates how vulnerable companies’ supply chains can become to geopolitical tensions, especially when they result in politicisation of the business environment.

While the Nexperia case is distinct from other controls imposed in 2025 in that it did not fall under the dual-use item framework, its implications on supply chains are similar. Each time new export controls are announced, companies must scramble to understand how their supply chain will be impacted, often with little to no official explanation initially. In the near term, companies will continue to pursue any avenue possible to obtain approvals from the MOFCOM. However, in the medium- to long term, they will need to begin factoring China’s export control framework into planning and decision-making, to hedge against similar situations in the future.

Unlike the Nexperia case—which although politically challenging does provide for an off ramp given that it was completely retaliatory in nature—China’s dual-use export control regime is more permanent. Items added to the dual-use entity list are not likely to be removed even if they were added as part of retaliatory measures, as doing so would be inconsistent with China’s stated goal of preventing the spread of these technologies to military end-users. The most China can do—as it did following the 2025 US-China trade deal—is temporarily suspend their application.¹³³

In the long term, China’s export control regime is likely intended more to exercise global control over the strategic technologies that China dominates rather than to serve as a retaliatory tool. Assurances from China’s Government that export controls will be applied in a non-disruptive way, and that European companies that have suffered collateral damage are not the target, have so far not assuaged the concerns of European Chamber members, given that this has not been the case so far. While the MOFCOM has continued to emphasise that “export controls are not export bans”,¹³⁴ they are *effectively* bans until companies obtain approval, which has taken months under processes used in 2025.

The European Chamber is continuing to work with its members and the MOFCOM to limit the disruption caused by export controls to EU-China trade. The aim is to reach a reliable solution that allows companies to efficiently obtain export approvals or, ideally, general licences. However, in the long-term, China’s broad and expanding definition of ‘dual use’ items, and its opaque standards for the approval of export licences, are causing significant collateral damage and negatively impacting business confidence. Furthermore, having the controls in place at all, even if approvals become more efficient, still exposes companies that rely on impacted goods from China to a significant risk of disruption, given that applications can be denied at any time or that general licences can be revoked. Considering these factors, China’s export control regime presents a growing threat to the country’s role in global supply chains.

131 *Ministry of Commerce Holds Regular Press Conference (16 October 2025)*, Ministry of Commerce, 16th October 2025, viewed 29th October 2025, <<https://www.mofcom.gov.cn/xwfbzt/2025/swbzkxwfbh2025n10y16r/index.html>>

132 About, *Nexperia*, viewed 23rd October 2025, <<https://www.nexperia.com/about>>

133 *Fact Sheet: President Donald J. Trump Strikes Deal on Economic and Trade Relations with China*, The White House, 1st November 2025, viewed 3rd November 2025, <<https://www.whitehouse.gov/fact-sheets/2025/11/fact-sheet-president-donald-j-trump-strikes-deal-on-economic-and-trade-relations-with-china/>>

134 *Ministry of Commerce Holds Regular Press Conference (16 October 2025)*, Ministry of Commerce, 16th October 2025, viewed 29th October 2025, <<https://www.mofcom.gov.cn/xwfbzt/2025/swbzkxwfbh2025n10y16r/index.html>>

Localisation

As already alluded to, China's self-reliance drive is effectively compelling foreign companies to further onshore in order to remain competitive in the China market. This higher degree of localisation comes at a cost, with some companies forced to separate China and global supply chains, and even to substitute key components in their products, meaning that they lose efficiency, innovation capacity and global competitiveness.

The 'in China, for China' model that many European companies are adopting, while sometimes bringing additional investment in the short-term as companies onshore functions, ultimately isolates China from operations in the rest of the world, as companies replicate global functions with localised China versions. There may be a level of regionalisation that occurs if companies use their China manufacturing capacity to export to other Asian markets, or markets such as Australia and New Zealand, but in some cases China's actions result in companies deprioritising and reducing their dependence on the country.

One company interviewed for this report, which is in a procurement-driven, advanced manufacturing sector, lost nearly all its China market share over the past decade. It noted that China's localisation requirements and discrimination against foreign brands in procurement have essentially pushed it to abandon export manufacturing in China, instead maintaining a small 'in China, for China' operation to fulfil the limited demand that is left. The interviewee noted that although geopolitical factors make China relatively unattractive, if the company was able to maintain even a modest procurement market share it would still be able to justify a sizeable investment in Chinese supply chains, which it could then leverage for export. However, given that its products are considered sensitive, it did not see the procurement environment as likely to change, so opted instead to invest in an Asian supply chain with the aim of reducing exposure to China as much as possible. While the company still relies on China for non-strategic raw materials and basic components, it now sources all its advanced components from outside the country.

This kind of approach is not always possible, though. Another advanced manufacturing company interviewed for this report, in a completely different sector, faced a similar set of circumstances. As its Chinese competitors began to produce comparable products, they lost nearly all their procurement market share due to their status as a foreign brand. Although they have since stopped selling their product in the China market, they still rely on some Chinese manufacturing for export. They are also in the process of reducing Chinese inputs into their global supply chain, however, for some components China still provides the only competitive option. So while the company is particularly wary of reliance on China given their negative experience with the country's procurement market, eliminating dependencies in a commercially viable way remains a challenge.

In both cases, China's localisation requirements disincentivise the use of Chinese supply chains. Each of these companies are in sectors in which Chinese competitors produce comparable products, which means the utility they provide to China—in terms of bringing advanced technology to the market—is reduced. However, both companies produce advanced products with sizeable global market share and China's localisation campaign has pushed them away from Chinese supply chains, which will ultimately be a loss for the country.

For companies that still command a technical lead over their Chinese competitors or produce high-quality products in advanced sectors that are less sensitive, further localisation in China is still a popular choice. Those that take this option do so with a close eye on the 30th September 2025 release of the *Notice on Implementing Domestic Product Standards and Related Policies in Government Procurement*, a long-awaited document that sets out requirements for goods manufactured in China to be considered 'domestically made'.¹³⁵ While the document contains language that seems to be aimed at reducing discrimination of brands based on foreign ownership, a long-standing pain point for European companies, it included a 20 per cent price evaluation preference for products that ultimately gain a 'domestic'

¹³⁵ *Notice on Implementing Domestic Product Standards and Related Policies in Government Procurement*, Ministry of Finance, 30th September 2025, viewed 15th October 2025, <https://www.mof.gov.cn/zhengwuxinxi/caizhengxinwen/202509/t20250930_3973725.htm>

designation in procurement procedures. This amounts to a 20 per cent tariff on all imported products for government procurement purposes, which will force companies wishing to remain competitive in the government procurement market to ensure that they meet localisation requirements. This will likely further compel companies to localise in sectors in which government procurement remains viable.

While the increase in companies localising may appear desirable for China in the short-term, compelling this kind of decision damages investor confidence overall and pushes some companies away from Chinese supply chains. Even with the standards for domestic status having now been released, questions remain over their detailed implementation. Many businesses that have been wondering for years about what would be necessary to achieve this status for the purposes of gaining access to China's government procurement market now have to ensure that their operations comply and, as already mentioned, some fear that the criteria could be changed in the future.

Additionally, given that the standards have not entered into force, it is yet to be seen if their prohibition on discriminating against foreign brands will be seriously enforced. Because most discrimination happens informally, it could be difficult to prove that infractions have occurred. The standards also only apply to government procurement, not public procurement procedures.

Localisation is a legitimate corporate strategy that takes place across the world, but it should not be compelled and should happen only for commercial reasons. If China maintains this direction of travel, it could elicit further trade actions from markets like the EU as they seek to address growing imbalances and protect their own industrial futures. This would ultimately make Chinese supply chains less attractive to global companies that fear being exposed to tariffs or other trade measures.

Market distortions, security and trade defence

China's use of MIC2025-style industrial policy—a mix of subsidies and policy support now under the umbrella of 'new quality productive forces'—has created significant market distortions. Production capacity has continued to expand at a faster pace than domestic demand, leaving China to rely on exports to absorb some of its excess production.¹³⁶

While the EU has demonstrated its willingness to react with trade defence tools, action is not limited to developed markets.¹³⁷ China faced a record 198 WTO trade investigations in 2024, accounting for over half of new investigations that year, with 117—or nearly 60 per cent—of those originating from developing countries, and Pakistan, "a low-income neighbor [sic] with longstanding ties to China" launching five cases.¹³⁸

China's large stake in global manufacturing value added at least partially explains the number of investigations,¹³⁹ however the previous high, which was 124 in 2009,¹⁴⁰ came when the country was still relatively new to the WTO and lacked the manufacturing capacity it now has. The uptick in investigations in 2024 coincides with China achieving most of its MIC2025 targets and rising to become the world's only manufacturing superpower.¹⁴¹ Foreign companies in China's strategic sectors have had a front row seat to this, with some losing significant or even all market share as a result.

¹³⁶ Garcia-Herrero, A., and Xu, J., *The Chinese economy: stimulus without rebalancing*, Bruegel, 26th August 2025, viewed 24th October 2025, <<https://www.bruegel.org/analysis/chinese-economy-stimulus-without-rebalancing>>

¹³⁷ Gunter, J., and Soong, C., *It's not us, it's you: China's surging overcapacities and distortive exports are pressuring many developing countries too*, MERICS, 3rd November 2024, viewed 23rd October 2025, <<https://merics.org/en/tracker/its-not-us-its-you-chinas-surging-overcapacities-and-distortive-exports-are-pressuring-many>>

¹³⁸ Lu, F., *Trade Surplus Grows Abnormally Amid Insufficient Domestic Demand — China's Economic Rebalancing Will Help Counter the Tariff War*, China Center for Economic Research, 22nd April 2025, viewed 24th October 2025, <<https://nsd.pku.edu.cn/docs/20250422110541244327.pdf>>

¹³⁹ Venditti, B., *Ranked: Global Share of Manufacturing Value, by Country*, Visual Capitalist, 2nd May 2025, viewed 22nd October 2025, <<https://www.visualcapitalist.com/ranked-global-share-of-manufacturing-value-by-country/>>

¹⁴⁰ Lu, F., *Trade Surplus Grows Abnormally Amid Insufficient Domestic Demand — China's Economic Rebalancing Will Help Counter the Tariff War*, China Center for Economic Research, 22nd April 2025, viewed 24th October 2025, <<https://nsd.pku.edu.cn/docs/20250422110541244327.pdf>>

¹⁴¹ *Made in China 2025: The Cost of Technological Leadership*, European Chamber, 16th April 2025, viewed 24th October 2025, <https://www.eurochamber.com.cn/en/publications-archive/1274/Made_in_China_2025_The_Cost_of_Technological_Leadership>



For many of the most-impacted companies, namely those in the MIC2025 sectors in which China has achieved the highest degree of technological leadership, this can mean a move away from Chinese supply chains for global or regional business as well. Similar to how localisation requirements and discrimination in procurement can make Chinese supply chains less attractive, market distortions that drive prices to rock bottom and result in unhealthy and unsustainable competition can make relying on Chinese supply chains unsustainable. Large-scale manufacturing investments in China sometimes do not make sense if the domestic market cannot account for a significant portion of demand. Furthermore, foreign companies must increasingly think about the financial viability of their Chinese suppliers for supply chain stability purposes, given that one supplier shutting down can seriously threaten the viability of a certain product.

On top of this, as already alluded to, heavy exposure to Chinese manufacturing for global supply chains puts companies at risk of being caught up in trade defence measures against China and can lead to security concerns in some sectors. The latter is particularly important, with companies in sectors that are both strategic and sensitive often more inclined to try and reduce reliance on Chinese supply chains. These companies are also among the most successful at doing so given that their customers, which often have security concerns about Chinese components, are less price sensitive, making the economics of leaving China behind make more sense.

That said, the opposite circumstance is common too, with companies relying on China's efficient industrial clusters, innovation ecosystem and low prices to stay globally competitive. Actively moving away from Chinese supply chains comes with the risk of losing out to Chinese competitors in global markets or to other foreign companies that maintain a high level of China exposure. Outside of industries in which customers are actively looking for products with limited China exposure, the economics of Chinese manufacturing often work best.

The EU's trade defence policy, which is grounded in WTO rules and intended only to correct for unfair and distortive trade practices,¹⁴² has been targeted and precise enough that Chinese exports remain competitive in Europe. While EU imports from China did modestly decline in value terms in 2023 and 2024,¹⁴³ this is due in part due to a stronger euro and persistent factory gate deflation in China and not representative of a paradigm shift. For now, at least at a macro level, the EU's trade defence regime remains more of a symptom of the problems with China's approach to industrial policy than a disruptor of trade.

However, this is not the case everywhere. Markets like the US have adopted an offensive trade policy, which could reduce the competitiveness of certain Chinese products. Furthermore, as their Chinese competitors catch up on technology and price, more foreign companies may lose domestic market share, further incentivising diversification away from Chinese supply chains.

Despite strong signals from global trading partners that its approach to industrial policy is unsustainable, it seems China is poised to continue along its current trajectory. Some companies that are catching onto this are beginning to realise that competing in China might not always be possible.

One company interviewed for this report that participates in China's volume-based procurement system noted that even after onshoring production and their entire supply chain, they are still unable to compete on pricing with their Chinese counterparts for many products. They suggested that their strict global quality standards could be one reason for this, with Chinese companies yet to match them. Another reason they cited for this, paradoxically, was their relatively early entry into the China market. Their Chinese competitors, which invested in manufacturing capacity later, were able to choose underdeveloped regions with lower costs for their factory locations, instead of being tied to an existing investment made in a more expensive, less subsidised eastern province like many foreign companies are.

¹⁴² Trade defence, European Commission, viewed 24th October 2025, <https://policy.trade.ec.europa.eu/enforcement-and-protection/trade-defence_en>

¹⁴³ EU trade relations with China. Facts, figures and latest developments, European Commission, viewed 24th October 2025, <https://policy.trade.ec.europa.eu/eu-trade-relationships-country-and-region/countries-and-regions/china_en>

The scale and speed at which China has supported certain industries and regions has blurred the line between fair competition and unequal subsidisation, meaning that in many sectors the entire business environment is distorted. However, there is plausible deniability for this given that it is impossible to clearly separate gains made through genuine market competition from those made possible by subsidies or other forms of policy support. While this encourages localisation, as foreign companies seek to emulate the costs and conditions of their now powerful Chinese competitors, it has implications for globalisation.

The fact that China's export-orientated model has so far been able to weather increasing third-country trade defence actions is not necessarily a sign of resilience, but rather may reflect the fact that the impacts of such actions have not yet been felt. There may well be an increase in trade defence actions, as more countries and regions assert their right to protect themselves from external distortions and attempt to ensure their own economic security. Therefore, by adopting a more balanced and sustainable form of industrial policy, China could go a long way to making its exports more accepted worldwide while also encouraging global companies to stake more of their supply chains on the country.

Compounding uncertainty

Facing an unprecedented level of uncertainty and instability, on top of existing regulatory constraints, companies that can are designing dynamic supply chains. While not a zero-sum game, any such adaptations come with additional costs and decreased efficiency over time. For those that do not have the resources or ability to develop dynamic supply chains, the sheer number of unknown factors that must somehow be factored into the decision-making process means it is often more realistic to just react to developments as they happen rather than meaningfully plan in advance.

Balancing resilience and efficiency

There was a broad acknowledgement among companies interviewed for this report that there has been an overall shift from 'just in time' to 'just in case' supply chain strategies. This was spurred by the COVID-19 pandemic, during which production stoppages, logistical disruptions and sudden demand fluctuations led to goods shortages in every corner of the globe. In its simplest form, 'just in case' means that companies keep more inventory on hand, accepting higher storage costs in exchange for having stock ready to go should an unexpected disruption or demand shift occur.¹⁴⁴

However, European Chamber members noted additional just-in-case adjustments to their supply chain strategies, such as moving to a multi-supplier model, in which they work with at least two suppliers for every input. Although this raises costs, it ensures that a backup is available should one supplier no longer be viable due to regulatory or geopolitical factors, or insolvency. To help offset the higher cost, companies may try to increase component overlap across different product models where possible and may not rely equally on each supplier, assigning more volume to the supplier with the most competitive pricing.

However, the multi-supplier model—especially for strategic or high-tech components—often means 'dual supplier' in practice. Given that key components, such as chips, cannot easily be swapped in and out of a product without significant design adjustments, it rarely makes sense, nor is it often possible, to use more than a few suppliers. There are also cases in which even a dual-supplier model is simply not feasible or where companies rely on one country—often the US—for one specific input and are unable to find an alternative elsewhere. When this happens, it may be possible to work with other suppliers to develop the expertise necessary to produce the needed input, but this also takes time and resources.

One company interviewed for this report is in this situation – although their China-based production relies on an almost entirely Chinese supply chain, one key input is only available from the US. Given the uncertainty around tariffs, they are actively working with Chinese suppliers to produce this input at an acceptable level of quality, but in the meantime are left with no choice but to pay the applicable tariffs. Tariffs—while not desirable—are not a worst-case scenario for some companies since they can at least be paid and production can continue, with the additional costs being passed on. If the US-China trade conflict were to deteriorate, and more drastic actions were to be taken that cut supply of this product off entirely, the company would be forced to stop production.

This was the case for some European companies impacted by China's export controls. Given that export controls, unlike tariffs, cannot be overcome by paying more, they were left with no choice but to stop production in lieu of an alternative. Therefore, no matter how much scenario planning and preparation European companies undertake, if the EU is unable to wean itself off certain critical dependencies, production stoppages will remain a possibility under China's export control regime.

¹⁴⁴ Banton, C., *Just in Case (JIC): What it is, How it Works, Examples*, Investopedia, 22nd February 2025, viewed 21st October 2025, <<https://www.investopedia.com/terms/j/jic.asp>>

While in many cases China's extensive industrial clusters present the most viable option for accessing a certain input, in areas where there is flexibility, deciding how much to rely on China can be a difficult decision as well, with cost having to be weighed against other concerns. One company interviewed for this report, which has tried to limit its exposure to China in its supply chain to the greatest extent possible, noted that one of its key competitors—also a European company—has increased its exposure to Chinese suppliers and lowered costs by doing so. In the short-term, they noted that this competitor was seeing more sales, but they still felt the strategic shift they had made away from China was the right decision. They acknowledged, however, the need to continually reevaluate this decision.

The fact that some companies have stopped trying to plan for certain worst-case scenarios speaks to the level of uncertainty at play. In other words, the typical 'just in case' strategy that many global companies have had to adopt is insufficient to mitigate the most extreme geopolitical developments. At the same time, commercial and competitive factors mean that companies are not currently incentivised to take their 'just in case' strategies to more extreme levels, which could include further increasing inventories or sourcing additional suppliers. They would, however, benefit from having a clearer picture of what to prepare for.

Just in case what?

Businesses are accustomed to dealing with risk, which can be accounted for as a cost. However, they must make supply-chain-related decisions proportionate to the degree of risk that their competitors are preparing for, otherwise they could overprepare themselves to a point of becoming uncompetitive. The problem here lies in how to accurately gauge—to a relatively precise degree—the probability of certain risks becoming reality, something that cannot be reasonably factored into business decisions when assessing extreme potential scenarios.¹⁴⁵ Somewhat paradoxically, absent a reasonable level of certainty, companies have no choice but to wait and react to the latest developments, which is not compatible with a 'just in case' strategy, but rather closer to the flexibility of the 'just in time' model that many companies are trying to move away from.

Thus, companies tend to consider risk factors that can be more easily quantified and reasonably assessed in terms of probability instead of preparing for doomsday-like scenarios. For example, one company interviewed for this report—in a sensitive, high-technology sector—noted that should cross-strait relations deteriorate into military conflict, China's link to global supply chains could be disrupted to such an extent that while the company's entire supply chain would likely collapse, the level of disruption to the global economy would be so great that no plan they could come up with would provide sufficient contingency.

Even for companies that can afford adequate scenario planning, their ability to adjust on the fly can be limited. At one end of the spectrum, logistics providers can make decisions about where to send their moveable assets (such as ships and planes) relatively last minute, although even this is constrained to at least a few weeks or months in advance by factors such as landing slots, route approvals, crew scheduling and port availability. At the other end of the spectrum, companies involved in advanced manufacturing are bound by decisions made years or decades ago, with products whose specialised suppliers are irreplaceable and with factories that would take years to rebuild elsewhere. Both types of business models are vulnerable, but all that can be done is to make educated guesses about what to prepare for next, with the caveat that doing too much too soon could affect competitiveness.

This often leaves companies with suboptimal options. This was especially true of the US-China trade war in 2025. Tariffs and export controls were announced and walked back several times throughout the year, and threats of additional tariffs were issued by the US with even more regularity. Companies sometimes found themselves unable to plan for just weeks or days ahead, instead waiting for the next news story that could provide some insight into where the trade war may be headed.

¹⁴⁵ Businesses thrive on assessing and managing risk, not uncertainty. Risk and uncertainty are fundamentally different, with the latter describing something to which no probability can be assigned. Potential developments that cannot be quantified enter the territory of uncertainty, with businesses unable to reasonably factor them into their decision-making process. Knight, F., *Risk, Uncertainty and Profit*, Houghton Mifflin Company, Boston & New York, 1921.

Thinking long-term

While it is unlikely that China will perform a U-turn on its self-reliance drive or give up exerting control over global markets in areas where it has leverage, it would make sense for the country to carefully evaluate the consequences of these actions on businesses. With uncertainty now a “defining characteristic of the global economy”,¹⁴⁶ how China manages its business environment is arguably more important than ever, given that businesses are craving predictability.

Instead of fostering a safe haven for globalisation, China’s rollout of export controls throughout 2025 sent European businesses into crisis mode and diverted EU-China focus away from making progress in other important areas of cooperation. Regardless of whether the controls were intended to retaliate against the US or are ultimately aimed at exercising greater control over strategic technology and resources globally, the net result is that they accelerated efforts by other countries to obtain alternative sources for impacted goods. If these efforts come to fruition, China’s ability to exert this kind of control will decline in parallel. There may be products that other countries struggle to replicate, and it will take time to adjust industrial capacities, but most of the cards China is now playing through its export control regime cannot be reused.

The EU—initially slow to react—is now working on a plan, called RESourceEU, to reduce critical dependencies.¹⁴⁷ Inspired by the EUR-300-billion REPowerEU plan—launched to reduce EU energy dependency following Russia’s invasion of Ukraine—^{148&149} RESourceEU’s proposal is already contributing to a serious conversation in Europe about the kind of funding it would take to genuinely address dependencies on China.¹⁵⁰ While it will take time—likely decades—before any plan can eliminate EU dependence on even just Chinese REEs, a direction of travel—away from Chinese supply chains for critical products—is being set in Brussels. Furthermore, the decision to model the plan on the EU’s framework to address Russian energy dependency amid the invasion of Ukraine—a crisis of existential proportions for Europe—sends a strong signal about the scale of damage that Chinese export controls have caused. In the short term, Europe’s trust in China has suffered, but in the long term, China’s control over these critical materials may begin to diminish.

For businesses, export controls are one of many factors contributing to an evolving outlook on China. Other long-standing grievances like localisation requirements, discrimination in procurement and industrial policy are also among the reasons some companies have begun to distance themselves from Chinese supply chains. These challenges are more predictable—largely because of their long-standing nature as pain points for European business in China—but they remain in the background exerting a steady baseline of pressure, with sudden developments like tariffs or export controls coming on top.

¹⁴⁶ Feingold, S., *Uncertainty is impacting the global economy. But how is it measured?*, World Economic Forum, 23rd October 2025, viewed 24th October 2025, <<https://www.weforum.org/stories/2025/10/uncertainty-impacting-global-economy-how-is-it-measured/>>

¹⁴⁷ *Speech by President von der Leyen at the 2025 Berlin Global Dialogue*, European Commission, 25th October 2025, viewed 1st November 2025, <https://ec.europa.eu/commission/presscorner/detail/da/speech_25_2515>

¹⁴⁸ *Ibid.*

¹⁴⁹ *REPowerEU*, European Commission, 17th June 2025, viewed 4th November 2025, <https://commission.europa.eu/topics/energy/repowereu_en>

¹⁵⁰ Zimmermann, A., *The EU wants to escape China’s grip on critical minerals. Can it afford to?*, Politico, 30th October 2025, viewed 4th November 2025, <<https://www.politico.eu/article/eu-commission-wants-escape-china-grip-critical-rare-minerals-can-it-afford-to/>>

Conclusion

While China cannot eliminate the uncertainty that businesses are facing globally, it could address long-term business challenges in its own market and avoid creating new ones, thereby positively taking advantage of its considerable influence over global supply chains and cementing itself as a pillar of stability. It will also not be able to stop or even reverse the trend of supply chain diversification that it has had a hand in starting, but there is an opportunity to ensure that companies plan for their future in such a way that China derives the maximum benefits that it can. This would mean encouraging foreign companies to take advantage of China's unparalleled industrial clusters and world-class innovation ecosystem without the baggage of market access restrictions and distortive industrial policy. It would also require a departure from the tendency to react so strongly to external threats that significant collateral damage follows, instead building a reputation of openness and dependability.

This would be a remarkable shift for China to make, given the direction it is currently headed. Companies will remain pragmatic and open to a change in course, but for now China is slowly becoming just one piece of a global puzzle, with maybe too much inherent risk to indefinitely maintain the current level of dominance it holds in supply chains. As other countries bolster their own self-reliance efforts, tools such as tariffs and export controls will become less effective, leaving China in a comparatively weaker position.

China's surging exports may be one reason why the country seems comfortable maintaining its current policy direction. The fact that it has been able to achieve most of its self-reliance goals at home while continuing to grow its share of global trade is not only remarkable, but also likely seen as a justification that the current model does not need to be adjusted.

The backbone of supply chains—like mines and factories—takes years or decades to move elsewhere, while many governments, especially the EU's, move carefully and slowly. However, much of the world—through record WTO complaints—has made clear to China that its trade policies are resulting in distortions in their markets, and that urgent change is needed.

Thus, China faces a fundamental choice: it can continue with its current approach to trade, exporting an ever-increasing volume of goods to Europe, as well as other countries, irrespective of the impact on industrial resilience and employment in these countries; or it can adopt a more measured approach, working with trade partners to address concerns, taking into account the interests of all sides, and prioritising a sustainable model over short-term gains. Should China choose the former, it can be expected that the current climate of global uncertainty—and the negative impact that this has on supply chains—is here to stay for the long term. Should China choose a truly collaborative approach with Europe, certain tensions will remain, but the two markets could move into a space where differences can be managed without creating unnecessary inefficiencies and losses for both companies and economies.

Recommendations

Recommendations to China

- Ensure that policies related to economic security are proportionate and minimise any unintended consequences on business.
- Balance responses to sudden escalations of global tensions against the establishment and maintenance of a predictable and reliable business environment.
- Refrain from weaponising export controls and ensure that implementation is gradual.
 - Formulate implementation plans in a way that prevents general supply chain disruptions or mitigate them to the greatest extent possible.
 - Communicate implementation details for new controls to businesses as early as possible.
 - Consult with chambers of commerce before updating the 'dual-use item list' as provided for in the *Regulations on Export Control of Dual-use Items*.
- Implement trade defence actions, including tariffs, in a targeted way that minimises collateral damage.
- Enforce provisions in the *Notice on Implementing Domestic Product Standards and Related Policies in Government Procurement* that protect foreign brands from discrimination.
 - Eliminate the 20 per cent price evaluation preference for goods designated as 'domestically produced'.
- Roll back localisation requirements to ensure that China has access to the best technology globally.
- Ensure that industrial policy is used sparingly with the aim of avoiding market distortions.
- Act within WTO principles to the greatest extent possible, and continue to cooperate with the EU to reform the multilateral trading system so that it is fit for purpose.

Recommendations to the EU

- Formulate responses to China's export control regime that take into account its nature as an offensive trade measure that aims to exert long-term control over critical technologies and resources globally, including in the EU.
- Consult with companies when drafting EU regulations and directives to ensure that implementation is feasible.
- Address single-source dependencies on China and other key markets.
- Continue to implement targeted measures to protect the European Single Market from distortions without compromising fair trade.
- Continue to cooperate with China to reform the multilateral trading system so that it is fit for purpose.
- Accelerate plans to identify and eliminate critical dependencies.
- Develop responses to non-market real-exchange-rate developments that put EU industry at a disadvantage.

Recommendations to European companies in China

- Commit adequate resources to risk management and supply chain planning.
- Remain agile, identifying supply chain risks that can be managed while preparing for unexpected developments based on a thorough probability assessment.
- Conduct scenario planning to identify and understand worst-case scenarios, even if they cannot be adequately prepared for.
- Communicate frankly with Chinese government stakeholders about the market's advantages and risks to ensure that policymakers understand business perspectives.
- Eliminate single-source dependencies on both China and the US where possible.
- Continue to engage with the European Chamber to advocate for sustainable solutions to supply-chain-related challenges.
 - Clearly communicate new issues, status updates and any other developments in a timely manner.

Appendix

Business Confidence Survey 2025: Supply Chain Diversification Continues

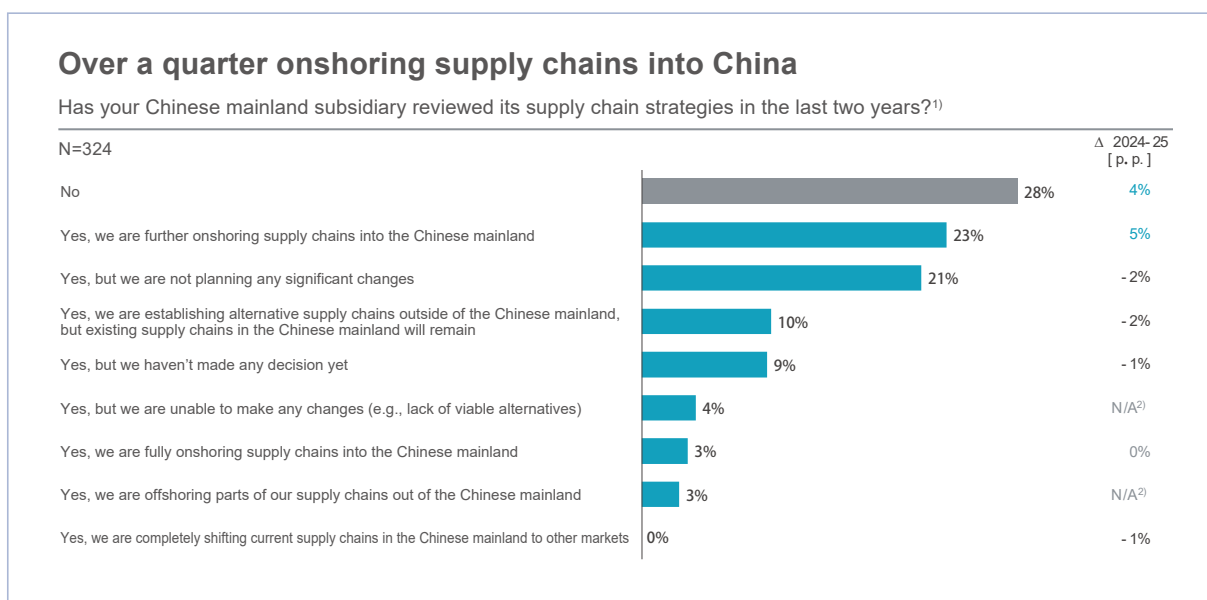
The growing list of challenges European businesses face when operating in China, combined with a number of commercial factors, has compelled many to localise and silo their China operations. An increasing number are creating two separate systems, with one for China and one for the rest of the world—including for supply chains, data and IT systems, and staffing—which is an expensive and inefficient solution.¹⁵¹

This overall readjustment speaks to the complexity of maintaining efficient supply chains in a volatile geopolitical environment. Businesses are doing what they can to survive and remain viable, whether foreign or Chinese. The construction of 'dynamic' supply chains is the ideal, but in practice this is only a viable option for the very largest companies.

China and global supply chains continue to be siloed

With the challenges of doing business in/with China growing in recent years, in tandem with commercial considerations—such as the desire to take advantage of local supply chains and the need to have proximity to customers—over seven in 10 respondents have reviewed their supply chain strategies in the past two years, as they seek to maintain a footprint in this important market while also ensuring the resilience of their operations – both in China and globally.

Of those that are adjusting supply chains, 3% (no percentage point (pp) change year-on-year (y-o-y)) are fully onshoring into China, while a further 23% (+5pp y-o-y) are partially doing so. At the other end of the spectrum, 3% (no pp change y-o-y) are offshoring parts of their supply chains away from the Chinese mainland, and an additional 10% (-2pp y-o-y) are in the process of establishing alternative supply chains outside of the country while maintaining their existing supply chains in China.



1) Excludes respondents that selected 'Not applicable'

2) 'N/A' refers to a new option or an option that is different from previous surveys

151 For more information on the measures European companies are taking to silo their China and rest of world operations, the drivers behind this, and associated costs, see: *Siloing and Diversification: One World, Two Systems*, European Union Chamber of Commerce in China, 9th January 2025, viewed 8th March 2025, <https://www.europeanchamber.com.cn/en/publications-archive/1272/Siloing_and_Diversification_One_World_Two_Systems>



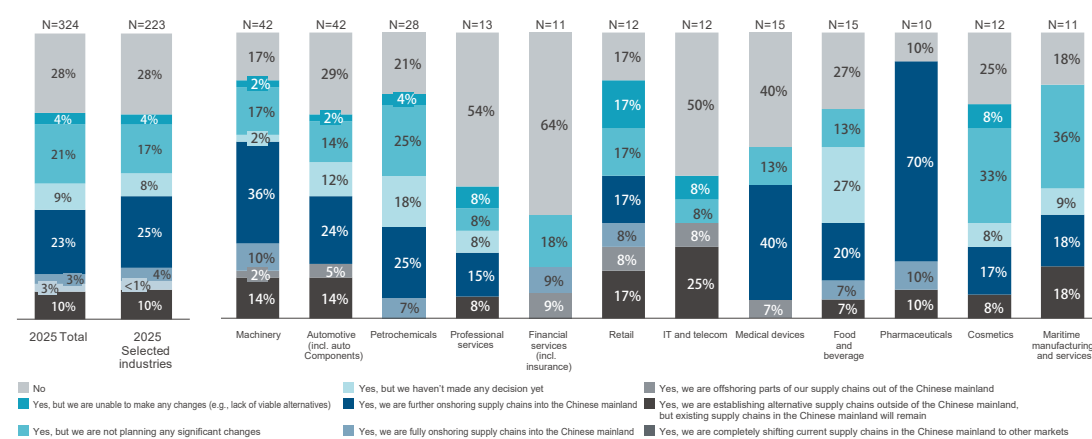
At the sectoral level, increased onshoring has taken place in areas in which a large percentage of European companies are committed to ‘in China for China’ strategies and are therefore focussed on building supply chain resilience in the country. This includes the chemicals (32% onshoring) and automotive (24% onshoring) industries.

This trend is also true of industries in which companies are looking to enhance their local operations to satisfy ‘made in China’ requirements. In this regard, 80% of those in pharmaceuticals—an industry in which China is currently trialling a Market Authorisation Holder (MAH) system,¹⁵² and in which heavily localised companies can complete drug review/approval procedures faster—report further onshoring into China, as did 46% in machinery and 40% of those in medical devices.

At the other end of the spectrum, 33% in IT and telecommunications, and 25% in retail are establishing alternative supply chains outside of China or shifting existing supply chains from the country. For the former, this partly reflects members’ efforts to create dual supply chains—for China and the rest of the world—to enable them to maintain a footprint in this important market while also mitigating risks/challenges arising from the need to satisfy different regulatory systems, and the threats of export controls and tariffs.

Large disparity across sectors when it comes to shifting supply chains

Has your Chinese mainland subsidiary reviewed its supply chain strategies in the last two years?¹⁾



1) Excludes respondents that selected ‘Not applicable’

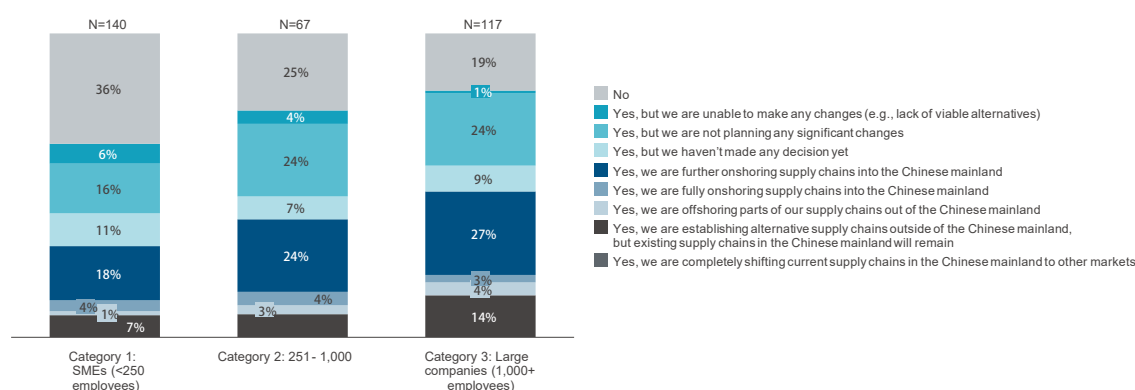
Disparity was also seen when broken down by company size, which highlighted both the greater complexity of MNCs’ supply chains, as well as their increased resources to be able to mitigate risks. Close to a third (30%) of MNCs reported fully or partially onshoring supply chains into the Chinese mainland, while a further 18% had offshored supply chains or taken steps to establish alternative supply chains outside of the country.

By contrast, 22% of SMEs reported shifting supply chains at least partially into the Chinese mainland, and 8% plan to offshore or establish alternative supply chains outside of the country.

¹⁵² For licence-in products of a foreign MAH, the entire manufacturing of the drug substance, drug product and all dosage strengths must be localised in a bundle. For an overview of MAH and related challenges faced by FIEs operating in China, see: *European Business in China Position Paper 2024/2025*, European Union Chamber of Commerce in China, 11th September 2024, viewed 7th March 2025, pp. 283–286, <[https://european-chamber.oss-cn-beijing.aliyuncs.com/upload/documents/documents/European_Business_in_China_Position_Paper_2024_2025.\[1269\].pdf](https://european-chamber.oss-cn-beijing.aliyuncs.com/upload/documents/documents/European_Business_in_China_Position_Paper_2024_2025.[1269].pdf)>

Half of multinationals adjust supply chain strategies

Has your Chinese mainland subsidiary reviewed its supply chain strategies in the last two years?¹⁾



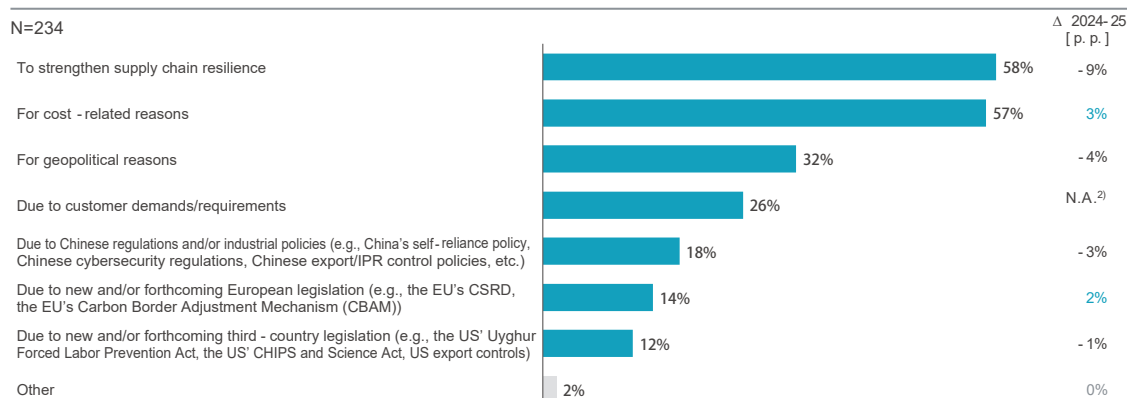
1) Excludes respondents that selected 'Not applicable'

Key drivers behind European companies reviewing their supply chains include the need to strengthen supply chain resilience (58%, -9pp y-o-y), cost factors (57%, +3pp y-o-y), geopolitical tensions (32%, -4pp y-o-y) and customer demands/requirements (26%).

At the sectoral level, the relative weight of these drivers varies. For example, cost-related reasons were the main driver reported by respondents operating in the petrochemicals, F&B and retail industries, selected by 68%, 64% and 60% respectively. By contrast, a need to strengthen supply chain resilience was the most frequently selected response for those in the machinery (69%) and automotive (67%) industries.

Companies review supply chains to build resilience and reduce costs

Why did your company review its supply chain strategy?¹⁾



1) Excludes respondents that selected 'Not applicable'

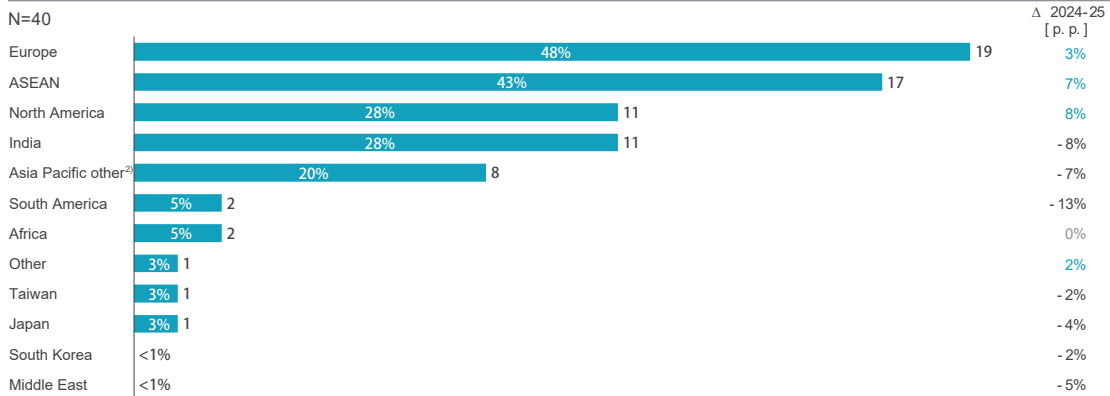
2) 'N/A' refers to a new option or an option that is different from previous years



Similar to when it comes to shifting investments, Europe ranked as the top destination for members partially or fully relocating their supply chains, with 48% of respondents reporting this to be the case. ASEAN ranked a close second (43%), with North America and India ranking joint third, selected by 28%.

Europe the top destination for offshored supply chains

Where has your company relocated or partially relocated its supply chain to?¹⁾



1) Multiple answers possible

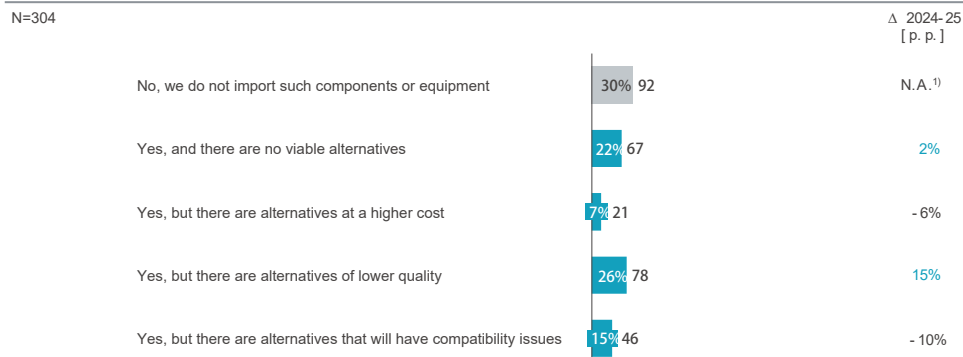
2) 'Asia-Pacific other' excludes ASEAN, India, Japan, South Korea and Taiwan

Despite efforts to boost supply chain resilience, challenges remain

Most companies that are exploring diversification of their supply chains experience difficulties when it comes to finding viable alternatives. While 30% of respondents do not import components or equipment into China that cannot be easily replaced in the event of a supply disruption, over a fifth (22%, +2pp y-o-y) import critical components for which they have no alternative sources. An additional quarter (26%, +15pp y-o-y) are able to source replacements but of a lower quality; 15% (-10pp y-o-y) state they are able to source alternative components that would have compatibility issues; and a further 7% report that doing so would increase costs.

Seven in 10 import components they cannot readily replace

Does your company import any equipment or components from abroad for which it cannot find comparable replacements, or for which finding alternatives would mean accepting lower quality, higher costs or compatibility issues?²⁾

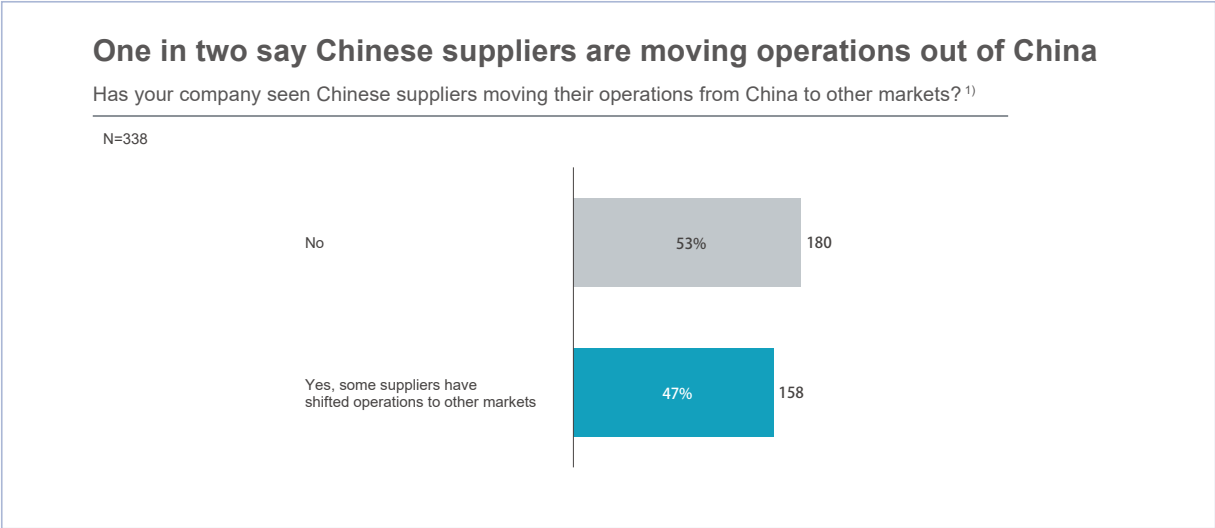


1) 'N/A' refers to a new option or an option that is different from previous surveys

2) Excludes respondents that responded 'No, we are not a production company'

Chinese suppliers also leaving

The percentage of respondents saying that their Chinese suppliers are moving operations to other markets also increased in 2024, with one in two respondents (47%, +2pp y-o-y) reporting this to be the case.



1) Excludes respondents that selected 'Don't know'

Abbreviations

CBAM	Carbon Border Adjustment Mechanism
CSDDD	Corporate Sustainability Due Diligence Directive
CSRD	Corporate Sustainability Reporting Directive
EU	European Union
EUDR	Regulation on Deforestation-free Products
EUR	Euro
MIC2025	Made in China 2025
MOFCOM	Ministry of Commerce
PP	Percentage Point
R&D	Research and Development
REE	Rare Earth Element
USD	United States Dollar
WTO	World Trade Organization
Y-o-Y	Year-on-Year



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